

CREATING
SUSTAINABLE
VALUE

FOR THE
YEAR ENDED
28 FEBRUARY

2026

DELTA PROPERTY FUND LIMITED

AUDITED GROUP AND COMPANY FINANCIAL STATEMENTS



NPA Building
Cape Town, Western Cape

TABLE OF CONTENTS

3 SALIENT FEATURES

4 DIRECTORS' RESPONSIBILITIES AND APPROVAL

4 CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER RESPONSIBILITY STATEMENT

5 DECLARATION BY COMPANY SECRETARY

5 DIRECTORS' REPORT

9 AUDIT COMMITTEE REPORT

11 INDEPENDENT AUDITOR'S REPORT

15 STATEMENT OF FINANCIAL POSITION

15 STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

16 STATEMENT OF CHANGES IN EQUITY

16 STATEMENT OF CASH FLOWS

17 MATERIAL ACCOUNTING POLICIES

22 NOTES TO THE FINANCIAL STATEMENTS

44 SA REIT DISCLOSURES

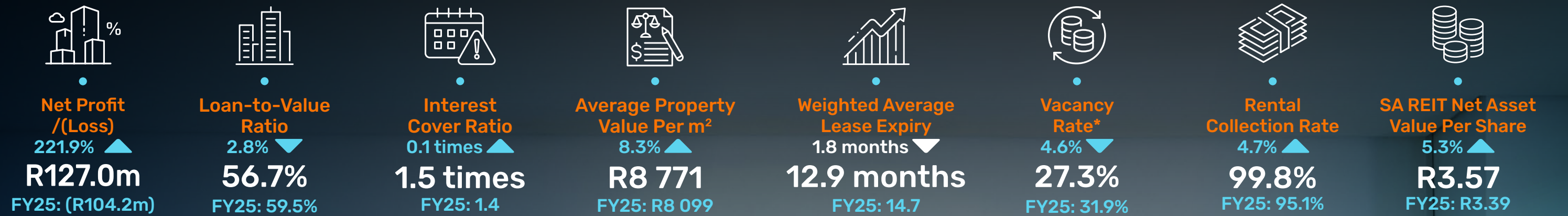
The supplementary information presented does not form part of Financial Statements and is unaudited:

46 PROPERTY STATISTICS

47 PROPERTY PORTFOLIO

49 ANALYSIS OF ORDINARY SHAREHOLDERS

SALIENT
FEATURES



▲ ▼ POSITIVE ▼ ▲ NEGATIVE

* The vacancy rate excluding non-core portfolio is 16.6% (FY25: 15.2%)

Directors’
Responsibilities and Approval

The directors are required by the Companies Act 71 of 2008 of South Africa to maintain adequate accounting records and are responsible for the content and integrity of the consolidated and separate annual financial statements and related financial information included in this report. These financial statements comprise the statements of financial position as at 28 February 2026 and the statements of profit or loss and other comprehensive income, changes in equity and cashflows for the year then ended, and material accounting policies and the notes to the financial statements, prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Companies Act. The consolidated and separate annual financial statements are based on appropriate accounting policies consistently applied throughout the Group and supported by reasonable and prudent judgements and estimates.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the Group and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the directors set standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the Group and all employees are required to maintain the highest ethical standards in ensuring the Group’s business is conducted in a manner that in all reasonable circumstances is above reproach. The focus of risk management in the Group is on identifying, assessing, managing and monitoring all known forms of risk across the Group. While operating risk cannot be fully eliminated, the Group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

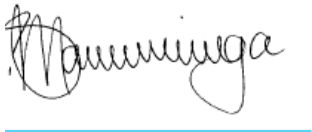
The directors confirm that a risk management policy has been adopted and adhered to during the financial year. The policy is aligned with industry practice and prohibits the Group from entering into derivative transactions other than those entered into in the ordinary course of business.

The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the consolidated and separate annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement or loss.

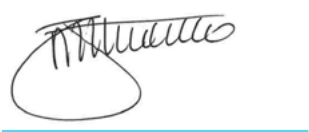
The directors have assessed the ability of the Group and Company to continue as a going concern and believe that the Group and Company will be a going concern in the year ahead, despite the existence of a material uncertainty (Refer to note 34 of the Group and Company financial statements).

The consolidated and separate annual financial statements have been audited by an independent auditing firm, KPMG Incorporated, who have been given unrestricted access to all financial records and related data. The directors believe that all representations made to the independent auditor during the audit were valid and appropriate. The external auditor’s unqualified audit report is presented on pages 11 to 14.

The consolidated and separate annual financial statements set out on pages 15 to 45, and the supplementary information set out on pages 46 to 49, which have been prepared on the going concern basis were approved by the Board of Directors (Board) on 28 May 2026 and signed on their behalf by:



Sibongile Masinga
Chief Executive Officer
29 May 2026

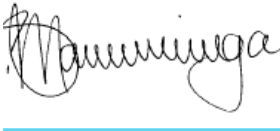


Zwelifikile Mhlontlo
Chief Financial Officer
29 May 2026

Chief Executive Officer and Chief Financial Officer
Responsibility Statement

Each of the directors, whose names are stated below, hereby confirm that:

- a. The consolidated and separate annual financial statements set out on pages 15 to 43, fairly present in all material respects the financial position, financial performance and cash flows of Delta Property Fund Limited (Delta or Group or Company) and its consolidated subsidiaries in terms of IFRS Accounting Standards;
- b. To the best of our knowledge and belief, no facts have been omitted or untrue statements made that would make the consolidated and separate annual financial statements false or misleading;
- c. Internal financial controls have been put in place to ensure that material information relating to Delta and its consolidated subsidiaries has been provided to effectively prepare the consolidated and separate annual financial statements of Delta;
- d. The internal financial controls are adequate and effective and can be relied upon in compiling the consolidated and separate annual financial statements, and we have fulfilled our role and function as executive directors with primary responsibility for implementation and execution of controls;
- e. Where we are not satisfied, we have disclosed to the Audit Committee and the auditor any deficiencies in the design and operational effectiveness of the internal financial controls and have taken steps to remedy the deficiencies;
- f. We are not aware of any fraud involving directors.



Sibongile Masinga
Chief Executive Officer
29 May 2026



Zwelifikile Mhlontlo
Chief Financial Officer
29 May 2026

Declaration by
Company Secretary

In terms of section 88(2)(e) of the Companies Act, 71 of 2008 of South Africa, I certify that to the best of my knowledge and belief, that Delta has lodged all returns required in terms of the Companies Act, 71 of 2008, with the Registrar of Companies for the financial year ended 28 February 2026 and that the returns are true, correct and up to date.



Vasta Mhlongo
Company Secretary
29 May 2026



Temo Towers
Polokwane, Limpopo

Directors’
Report

The directors have pleasure in presenting the Directors’ Report, which forms part of the consolidated and separate annual financial statements of Delta for the year ended 28 February 2026 (FY26, the reporting period or the period).

Introduction

This report provides details of the Group’s financial performance for FY26. During the period, the Group remained focused on meeting debt covenant requirements, concluding new leases and securing lease renewals, disposing of non-core properties, and improving rental income collections.

The Group delivered an improved financial performance for the year, underpinned by prudent debt management, successful leasing activity, the strategic disposal of non-core properties, a lower interest rate environment and continued operational efficiencies.

Company Profile

Delta is a South African property investment group with a portfolio of 72 properties valued at R6.3bn at year-end. With a presence in eight provinces, the Group benefits from strong geographic diversification and deep insight into regional markets across the country.

Spanning 718 328m² of gross lettable area (GLA), Delta’s portfolio provides well-located, functional space to a broad tenant base that includes national and provincial government departments, parastatals, and private sector businesses. Many of its properties are strategically located in established nodes, offering convenient access to street-level retail amenities and key transport routes.

Delta’s investment strategy is centred on disciplined capital allocation and proactive asset management to maximise sustainable returns. By maintaining a diversified, risk-managed real estate portfolio, the Group aims to deliver consistent performance while positioning itself for long-term growth in South Africa’s evolving property landscape.

Governance

The Board is a unitary board with ultimate responsibility for the performance of the Group, ensuring sound and effective corporate governance practices. The Board is committed to and applies the King V Code of Corporate Governance and continues to embed the six capitals (financial, manufactured, human, intellectual, natural, and social and relationship) in the organisation’s business processes and operations.

Financial Performance

The Group posted net operating income (NOI) of R674.9m, a decrease from R721.4m in the prior year mainly as a result of higher operating costs. The profit for the year increased to R127.0m from a loss of R104.2m in the prior year. The improvement is attributable to lower administration and finance costs, together with stable investment property valuations, which resulted in a fair value adjustment gain. Operating costs, including municipal charges and repairs and maintenance expenses, continued to increase year on year. However, the Group expects the repairs and maintenance costs to stabilise as the current capital expenditure program begins to yield benefits.

Key highlights of the Group’s financial performance are detailed below.

Revenue

Revenue, excluding straight-line rental income accrual, has remained relatively stable at R1.15bn (FY25: R1.14bn). The performance has taken into account the impact of rental reversions, vacancies, leasing activities and annual escalations across the portfolio.

The weighted average rental across the portfolio increased to R146.1/m² (FY25: R142.5/m²). The Group anticipates continued lease income rebasing, as some of its leases are on month-to-month and will be renewed into longer-term agreements at prevailing market-related rates.

Recoveries increased to R226.2m (FY25: R216.7m), highlighting the Group’s successful efforts in improving cost recovery. The increase reflects management’s ongoing focus on enhancing operational efficiencies and effectively recovering costs from tenants, which is expected to continue strengthening the Group’s financial performance.

Property operating and administrative expenses

Total property expenses increased to R473.0m (FY25: R422.0m), mainly due to higher utilities costs, service contract costs, and repairs and maintenance costs. Repairs and maintenance costs increased as a result of essential infrastructure, compliance and asset preservation work, including waterproofing, electrical, plumbing and fire equipment upgrades.

Administrative expenses decreased to R93.9m (FY25: R101.7m), reflecting the positive impact of cost-saving initiatives and the Group’s continued focus on operational efficiency.

Directors’
Report cont.

Other income

Other income amounted to R18.7m (FY25: R19.5m), primarily comprising recoveries of tenant reinstatement costs from vacated tenants.

Fair value adjustments

In line with the Group’s accounting policy, the property portfolio was independently valued by external valuers as at 28 February 2026, resulting in a fair value adjustment gain of R20.4m (FY25: loss of R178.3m). The improvement reflects a positive impact of portfolio optimisation, asset preservation and disposal strategies, which have contributed to improved portfolio stability and reduced downward valuation compared to the prior year.

A fair value adjustment loss of R15.4m (FY25: R43.6m) was recognised on the Group’s investment in listed securities, attributed to a decline in Grit’s share price. The decline in the fair value of the Group’s investment in listed securities reflects adverse movements in Grit’s share price during the period. The shares were, however, disposed of during November 2025 for R18.7m and the proceeds utilised to reduce bank loan facilities.

Finance costs and finance income

Finance costs remain a significant component of the Statement of Comprehensive Income, amounting to R412.4m (FY25: R463.0m). The year-on-year decrease is primarily attributable to debt capital repayments through amortisation, the application of proceeds from property disposals towards debt reduction, and a decline in interest rates.

Finance income increased to R4.6m (FY25: R2.6m), mainly as a result interest charged to tenants with overdue balances.

Taxation

The taxation for the year, including deferred tax, amounted to R41.6m (FY25: R32.0m). The increase in taxation is as a result of improved profitability.

Cash and cash equivalents

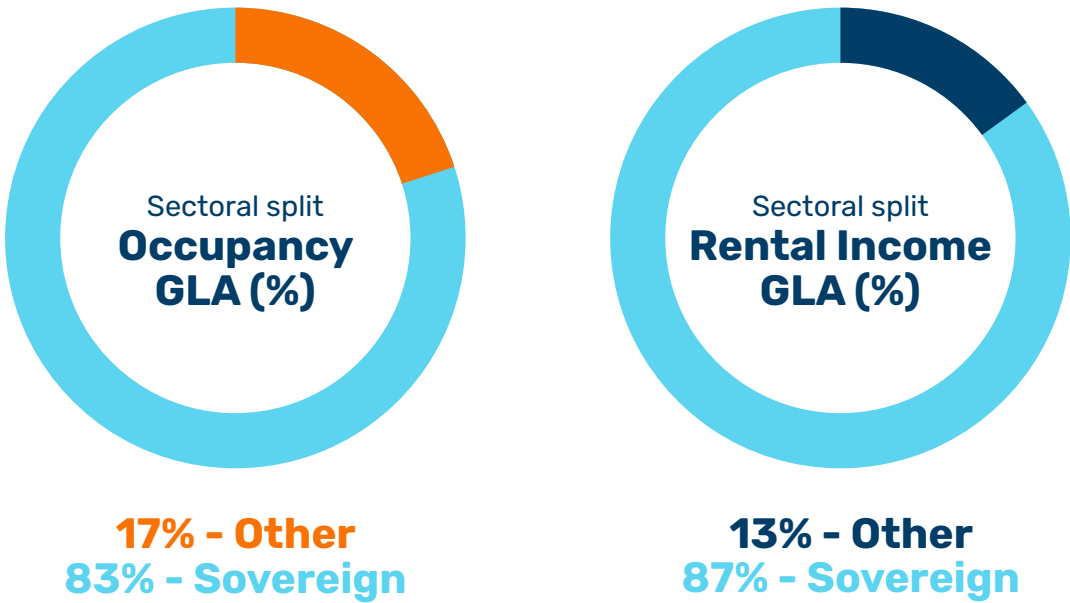
The cash generated during the period amounted to R604.9m, comprising R591.7m from operations, R0.2m in interest income, and R13.0m in net proceeds from property disposals. These funds were applied towards finance costs of R408.0m, net taxation of R31.0m, capital expenditure of R80.4m, lease liability payments of R3.1m, and debt amortisation payments of R103.1m. Due to these outflows, the Group utilised its revolving credit facility to support ongoing liquidity requirements.

NPA Building
Cape Town, Western Cape

Property Portfolio

Delta’s property portfolio consists of 72 (FY25: 83) properties with a total investment value of R6.3bn (FY25: R6.4bn) (including non-current assets held-for-sale) and a GLA of 718 328m² (FY25: 781 569m²).

The segmental and geographic breakdown of the portfolio at the reporting date was as follows:



Letting

During the reporting period, Delta renewed leases, comprising a total GLA of 139 666m², at a weighted average lease term of 1.3 years. In addition, new leases were concluded for a GLA of 20 881m², with a weighted average lease term of 1.4 years.

Portfolio vacancies improved to 27.3% (FY25: 31.9%). This improvement is primarily due to the disposal of non-core properties which had a combined GLA of 64 077m², of which 71% was vacant, as well as the conclusion of new lease agreements.

The WALE decreased to 12.9 months (FY25: 14.7 months), primarily due to the majority of lease renewals concluded during the year being for 12-month periods. The Group remains committed to securing longer-term lease agreements to support the long-term stability and sustainability of the portfolio.

Collections and Receivables

As at 28 February 2026, trade receivables decreased to R151.4m (FY25: R155.2m). The financial year was characterised by rental collection challenges, primarily driven by delayed payments from key government tenants, lease finalisation delays, and temporary administrative issues from some of the strategic accounts. Despite these pressures, the Group achieved a collection rate of 99.8% compared to 95.1% in the prior year.

A number of arrear debtor balances were successfully collected post year-end. The collection of these long-outstanding amounts demonstrates the effectiveness of management’s focused arrears recovery strategy and reflects the Group’s continued commitment to improving collections, reducing credit risk exposure, and enhancing the overall quality of the debtors’ book.

The expected credit loss (ECL) allowance balance amounted to R39.7m as at year end (FY25: R61.0m), representing approximately 26.2% of trade receivables. The ECL expense recognised for the year amounted to R27.4m (FY25: R25.5m), with a significant portion relating to few long outstanding arrears.

Disposals

Delta has continued to dispose of non-core and largely vacant properties, as part of its ongoing portfolio optimisation strategy. This strategic initiative aims to reduce the Group’s overall vacancy rate and debt levels, improve the cost-to-income ratio, and lower operational costs associated with holding vacant assets such as security and municipal charges. Upon successful disposal of all properties earmarked for disposal, the Group’s LTV ratio is expected to improve to 50% or below.

During the reporting period, eleven properties with a combined fair value of R204.6m and GLA of 64 077m² were transferred for a total gross consideration of R186.1m. Subsequent to year-end, a property with a fair value of R19.0m and GLA of 2 812m² was transferred for a gross consideration of R19.0m. In addition, four properties with a combined fair value of R112.6m and GLA of 45 221m² have been disposed for a total gross consideration of R112.6m and are pending transfer within the next six months.

PROPERTY	TRANSFER DATE	GLA (m²)	FAIR VALUE (R'000)	GROSS SELLING PRICE (R'000)
Properties transferred within the year:				
Anchor House	Apr-25	2 645	5 000	5 750
Thuto House	Apr-25	2 111	16 000	16 000
Protea Coin Pretoria	May-25	2 090	2 890	2 800
Stats House	May-25	2 827	8 307	8 500
Unisa Building	Jun-25	10 055	19 010	18 500
Du Toitspan	Jul-25	9 485	28 000	28 000
Pine Parkade	Aug-25	2 986	22 700	23 000
Beacon Hill	Oct-25	13 648	13 374	13 000
Die Meendt	Nov-25	3 705	20 500	20 500
Chambers of Change	Nov-25	7 915	41 650	25 000
101 De Korte	Feb-26	6 610	27 161	25 000
		64 077	204 592	186 050

PROPERTY	TRANSFER DATE	GLA (m²)	FAIR VALUE (R'000)	GROSS SELLING PRICE (R'000)
Properties transferred post year end:				
Parkmore	May-26	2 812	19 000	19 000
		2 812	19 000	19 000

PROPERTY	EXPECTED TRANSFER DATE	GLA (m²)	FAIR VALUE (R'000)	GROSS SELLING PRICE (R'000)
Disposals concluded but not yet transferred:				
In 2 Fruit	Jun-26	11 177	10 800	10 800
88 Field Street	Jun-26	21 793	76 000	76 000
African Life	Jun-26	8 567	13 000	13 000
BestMed	Jul-26	3 684	12 750	12 750
		45 221	112 550	112 550

Capital Expenditure (Capex)

Capex on the property portfolio to retain tenants remains a key focal point. During the reporting period, capex amounted to R80.4m (FY25: R46.8m). The expenditure related mainly to tenant installations, HVAC, lifts and renovations with the majority of the spend at the following properties: Poyntons (R7.2m), Shell House (R6.9m), NPA (R6.6m), The Forum (R6.1m), 56 Barrack (R4.1m), and R49.5m over the remainder of the properties.

Funding

During the reporting period, the Group successfully renewed maturing debt facilities with its funders. Nedbank extended from April 2025 to April 2026 and three Investec facilities were consolidated into a single facility, which was renewed to March 2027. Subsequent to year end, Nedbank extended from April 2026 to April 2027 and Standard Bank extended the debt facility that expires on May 2026, namely tranche 1 to May 2028 and tranche 2 to November 2028. In line with its capital management strategy, the Group continues to engage with its lenders regarding more favourable pricing, extending debt maturities, and restructuring amortisation profiles. The short-term objective remains to achieve a debt maturity profile of between two and three years. The Group also increased revolving credit facilities from R64.3m to R82m, of which R56.5m had been drawn at year-end.

Total interest-bearing debt declined to R3.6bn (FY25: R3.9bn). Capital repayments for the year amounted to R291.3m (FY25: R237.5m), funded by R170.1m proceeds received on the disposal of properties, R18.1m from the sale of the Grit Shares and R103.1m from amortisation payments.

Finance costs decreased to R412.4m (FY25: R463.0m), primarily as a result of capital repayments and interest rate cuts. Despite three interest rate reductions of 25 basis points each cycle by the South African Reserve Bank (effective 29 May 2025, 31 July 2025 and 20 November 2025), finance costs remain high. The likelihood of further cuts in the short term is low due to ongoing geopolitical uncertainties. The weighted average cost of funding for the period was 10.3% (FY25: 11.2%). The Group’s ICR improved to 1.5 times, and the covenant LTV ratio strengthened to 56.7% (FY25: 59.5%).

Dividend

Delta’s SA REIT Funds from Operations per share amounted to 17.3 cents (FY25: 15.1 cents). The increase is attributable

to improved profitability. Following the required solvency and liquidity assessment in terms of Section 46 of the Companies Act, which considered the Group’s cash flow forecasts, working capital needs, capital expenditure commitments, and contracted tenant installations related to lease renewals, the Board has resolved not to declare a dividend for FY26 (FY25: Nil).

Going Concern

The Board has carried out a review of the going concern assessment of the Group, as disclosed in the going concern note to the financial statements. Having considered the solvency and liquidity and the cash flow projections, the Board concluded that the Group is in a financial position to meet its cash requirements for the foreseeable future and accordingly is able to continue trading as a going concern, despite there being a material uncertainty about the Group’s ability to continue as a going concern (refer to note 34 to the financial statements for further details).

Events After Reporting Period

Refer to note 33 to the financial statements for disclosure regarding events after the reporting period.

Directorate

At the date of this report, Delta has a unitary Board consisting of eight directors in total, two executive directors and six independent non-executive directors, one of whom is a Lead Independent Director. The Board regularly reviews its composition, independence, diversity of skills and governance structures to ensure that it remains appropriately constituted to effectively discharge its responsibilities and uphold the principles of sound corporate governance.

Appointments:

- Mr Eugene Zungu - appointed 26 June 2025
- Mr Len van Niekerk - appointed 30 July 2025
- Mr Mpho Makwana - appointed 28 October 2025

Retirements:

- Mr Brett Copans - Resigned 31 May 2025
- Ms Phumzile Langeni - Retirement 28 February 2026

Directors’
Report cont.

Directors in office at the date of this report are as follows:

- Mr Mpho Makwana – Chairman
- Ms Sibongile Masinga – CEO
- Mr Zwelifikile Mhlontlo – CFO
- Mrs Sindiswa Victoria Zilwa
- Mr Solly Mboweni
- Mr Thomas (Tshepo) Matlala
- Mr Len van Niekerk
- Mr Eugene Zungu

Directors’ emoluments and interests

Refer to note 30 to the financial statements for disclosure regarding directors’ emoluments and interests.

Service contracts

The executive directors have service contracts with the Company which include a three-month notice period. The non-executive directors sign a formal letter of appointment on acceptance of their Board position.

Independent Auditors

KPMG Incorporated were reappointed as the independent auditors of the Group for the 2026 financial year.

Company Secretary and Registered Office

Advocate Vasta Mhlongo is the Company Secretary. The address of the Company Secretary is that of the Company’s registered office, which is Silver Stream Office Park, 10 Muswell Road South, Bryanston, Johannesburg, 2021.

Special Resolutions

No additional special resolutions were passed during FY26 other than those passed at Delta’s AGM held on 29 August 2025.

Basis of Preparation

The annual financial statements for the year ended 28 February 2026 have been prepared in terms of IFRS Accounting Standards, the Financial Pronouncements as issued by the Financial Reporting Standards Council, the SAICA Financial Reporting Guide as issued by the Accounting Practices Committee, JSE Listings Requirements and the Companies Act of South Africa. They have been audited in compliance with section 30 (ii) (a) of the Companies Act of South Africa and the Company’s Memorandum of Incorporation and were prepared under the supervision of the CFO, Mr Zwelifikile Mhlontlo CA(SA).

Prospects

The South African listed property sector continues to show gradual signs of recovery, supported by improved electricity supply, stabilising inflation and renewed investor engagement across the sector. However, the macro-economic environment remains uncertain due to persistent geopolitical tensions, high fuel prices, rising cost of living and a cautious interest rate outlook. Recent developments in the Middle East, together with the ongoing conflict in Ukraine, continue to place pressure on global energy prices, inflation expectations and supply chain. Although inflation in South Africa has moderated, the South African Reserve Bank remains focused on its long-term inflation objective, which may result in interest rates remaining higher for longer should inflationary pressures persist.

Within the office sector, operating conditions remain mixed. Demand for well-located, energy-resilient buildings has remained relatively stable, while some nodes continue to experience pressure from excess supply, longer tenant decision-making cycles and constrained rental growth. Corporates remain focused on cost containment and space optimisation, contributing to a competitive leasing environment. Against this backdrop, the Group remains focused on executing its strategic priorities in a disciplined manner. Key priorities include strengthening the balance sheet through the disposal of non-core assets, reducing debt, improving covenant metrics, securing lease renewals, reducing vacancies and maintaining stringent cost controls. These initiatives are aimed at protecting cash flows, improving portfolio quality and supporting a more sustainable capital structure. Operationally, the Group continues to actively manage controllable costs while mitigating the impact of above-inflation increases in municipal charges, electricity tariffs, repairs and maintenance expenditure and other administration costs.

The Group remains committed to proactive engagement with lenders, tenants and prospective purchasers of non-core assets. Continued progress on disposals, leasing activity and cost optimisation is expected to support the Group’s recovery trajectory. While the medium-term outlook is expected to improve as economic conditions stabilise, the pace of recovery will remain dependent on inflation trends, interest rates, economic growth and geopolitical developments.

The prospects have not been audited, reviewed or reported on by the Group’s independent external auditors.

Delta Fund Office
Johannesburg, Gauteng



Audit Committee
Report

Role and Mandate

The committee’s primary objective is the provision to the Board of additional assurance regarding the efficacy and reliability of the financial information used by the directors in the discharge of their duties. The committee has and will continue to assist the Board to ensure that adequate and appropriate financial and operating controls are in place, that significant business, financial and other risks have been identified and are being suitably managed, and that satisfactory standards of governance, reporting and compliance are in operation.

The Audit Committee is an independent statutory committee.

Meetings

The committee had four meetings during the financial year.

The number of meetings held during the year and attendance thereof was as follows:

MEMBER	AUDIT COMMITTEE
Mrs S Zilwa (Chairman)	4/4
Mr BD Copans (Member) - resigned 31 May 2025	1/1
Mr S Mboweni (Member)	4/4
Mr E Zungu (Member) - appointed 26 June 2025	3/3

Committee Composition

The committee consists of four independent non-executive directors. Members are appointed by the shareholders of the Company at each AGM, on the recommendation of the Nomination Committee and the Board.

At the date of this report, the Audit Committee comprises the following directors:

DIRECTOR	PERIOD SERVED
Mrs S Zilwa (Chairman)	1 June 2023 - current
Mr S Mboweni (Member)	26 June 2024 - current
Mr E Zungu (Member)	26 June 2025 - current
Mr L van Niekerk (Member)	1 March 2026 - current

The CEO, CFO and senior financial management and representatives from the external and internal auditors attend the committee meetings by invitation. The internal and external auditors have unrestricted access to the committee and chairman.

Activities and Areas of Focus During The Year

In the execution of its statutory duties relating to the financial year under review, the Audit Committee carried out its duties by reviewing the following on a quarterly basis:

- Internal audit reports
- External audit reports
- Financial management reports
- Key financial, property and operational metrics driving the business and decision making
- Tax governance and compliance as well as tax opinions
- Annual returns
- Litigation reports
- Nomination and recommendation of external auditors for re-appointment as external auditor of the Group under section 90 of the Companies Act; a registered auditor who, in the opinion of the committee, is independent
- The effectiveness of the internal financial controls. Made submissions to the Board on any matter concerning the Company’s accounting policies, financial controls, records and reporting
- The JSE Listings Requirements and monitoring compliance with REIT requirements.

Furthermore, the committee is satisfied:

- with the independence of the external auditor;
- with the terms, nature, scope, quality and proposed fee of the external auditor for the financial year ended 28 February 2026;
- with the consolidated and separate financial statements and the accounting policies implemented, as well as the significant matters considered in the preparation thereof, ensuring compliance with IFRS and has recommended the consolidated and separate financial statements for approval to the Board;
- with the Group continuing as a going concern;
- that it has considered the findings of the JSE’s report on proactive monitoring of financial statements;
- that the Group’s Chief Financial Officer, Mr Zwelifikile Mhlontlo has the appropriate expertise and experience to meet his responsibilities in that position as required by the JSE;
- that the finance function was adequately staffed with qualified human resources during the financial year;
- with the independence and effectiveness of the internal audit function;
- with the effectiveness of collaboration between the external auditor and internal auditor;
- with the integrity of the integrated annual report of the prior year and that it addresses all material issues and fairly presents the integrated performance of the organisation.

The Marine Building
Durban, KwaZulu-Natal

Audit Committee
Report cont.

Regulatory compliance

The audit committee confirms that internal financial procedures and controls are adequate and are effective and can be relied upon in compiling the consolidated and separate annual financial statements of Delta. The audit committee also confirms that internal financial controls are in place to ensure that material information relating to Delta and its consolidated subsidiaries are effective for reliance in the preparation of the consolidated and separate annual financial statements of Delta.

External audit

Based on processes followed by the committee and assurances received from the external auditor, nothing has come to our attention regarding the independence of the external auditor.

The committee has requested that the auditor provide it with any decision letters and explanations issued by IRBA or any other regulator and any summaries relating to monitoring procedures and deficiencies issued by the audit firm's quality control reviewers.

The committee requested from KPMG Incorporated (KPMG) the information contained in paragraph 5.7(h)(iii) of the JSE Listings Requirements to assess suitability for the appointment of KPMG and the designated individual partner.

The committee follows a comprehensive process to discuss and assess all audit findings. The committee noted the following matters set out in the independent auditor's report, which were carefully considered by the committee:

- The valuation of investment property has been identified as a key audit matter for the 28 February 2026 reporting period; and
- The emphasis of matter resulting from going concern uncertainty has been fully dealt with in the going concern commentary in the Directors' report going concern section included below and in note 34 in the consolidated and separate financial statements.

Internal audit

The committee oversees the internal audit function which is performed by Mazars.

The committee approved a revised three-year rolling internal audit plan with an enhanced focus on key risk areas identified by the Group during a risk assessment process. Mr. Muren Naidoo, Director: Internal Audit and Risk Control at Mazars, has fulfilled the role of Chief Audit Executive (CAE). The CAE

is invited to participate in all the Audit Committee meetings, as well as participate in the annual detailed risk workshop held by the Risk and Compliance Committee.

Going concern

The committee reviewed the going concern assessment of the Group and Company, as disclosed in the going concern note in the financial statements and concurred with management's assessment that the financial statements for the Group and Company be prepared on the going concern basis.

The committee considered the following aspects in reviewing the going concern assessment:

- The liquidity and solvency tests as required by the Companies Act.
- That the Company and Group are able to generate sufficient cash flows to meet its obligations for the following 12 months.
- That the forecast cash flow projections for the 2027 financial year are based on a detailed assessment and with reasonable assumptions applied.
- That management has engaged in consultation with the principal senior funders of the Group particularly with regard to interest-bearing borrowings and facilities with a short tenure.
- The Group and Company's total assets of R6.5bn and R6.4bn exceed the total liabilities by R2.5bn and R2.5bn at 28 February 2026, respectively.
- The Group had a Covenant LTV ratio of 56.7% in comparison to 59.5% in the prior year. These ratios have exceeded the covenants set by the lenders of 50%. The Group and Company had an interest cover ratio of 1.5 and 1.5 times respectively in comparison to 1.4 and 1.4 times in the prior year. The Group and Company's interest cover ratio is below the covenants set by the lenders of 2.0 times.
- The Group's and Company's current liabilities of R3.3bn and R3.3bn respectively, exceeded its current assets (including non-current assets held-for-sale) by R2.5bn and R2.5bn respectively. This is mainly due to the structural tenure of the Group's funding facilities and as such the ability of the Group and Company to meet its obligations to lenders in the short term will be constrained. Management has engaged with lenders in this regard, refer to Directors' report for further details.

The strategy of the Fund is to continue to be the landlord of choice to its tenants. The Company's cash flow is carefully monitored to ensure the optimal use of available cash. The committee and the directors have satisfied themselves that the

Group continues to enjoy the support of its funders and thus is expected to have adequate resources to continue its operations in the foreseeable future and meet its obligations as they fall due. Facilities are renewed on a rolling basis as they reach maturity. The committee recognises the material uncertainty relating to the sale of non-core assets, the extension of facilities by lenders, and lease renewals.

These unforeseen events or conditions may affect the execution of the business plans of the Group and Company which may cast significant doubt on the Group and Company's ability to continue as a going concern and therefore it may be unable to realise its assets and discharge its liabilities in the normal course of business.

Committee Performance

The committee assesses its performance every two years to determine whether or not it has delivered on its mandate and continuously enhanced its contribution to the Board. The assessment takes the form of a questionnaire, by way of a self-assessment and peer review, which is independently completed by each member of the committee. The Company Secretary then collates and presents the results of the assessment to the Nominations Committee.

Key Focus Areas for FY 2027

The committee's continued key focus areas for the next financial year include the following:

- Continued going concern review and assessment.
- Monitoring debt reduction strategy.
- Monitoring of funding covenants to ensure compliance with lenders.
- Capital structure review.

On behalf of the Committee



Mrs S Zilwa

Chairman of Committee
29 May 2026

Independent Auditor's Report

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



KPMG Inc
KPMG Crescent
85 Empire Road, Parktown, 2193,
Private Bag 9, Parkview, 2122, South Africa
Telephone +27 (0)11 647 7111
Fax +27 (0)11 647 8000
Docex 472 Johannesburg
Web http://www.kpmg.co.za

Independent Auditor's Report

To the shareholders of Delta Property Fund Limited

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Delta Property Fund Limited (the Group and Company) set out on pages 15 to 45, which comprise the statements of financial position as at 28 February 2026, and the statements of profit or loss and other comprehensive income, the statements of changes in equity and the statements of cash flows for the year then ended, material accounting policy information, notes to the consolidated and separate financial statements and the SA REIT disclosures.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Delta Property Fund Limited as at 28 February 2026, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Companies Act of South Africa.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated and separate financial statements section of our report. We are independent of the Group and Company in accordance with the Independent Regulatory Board for Auditors' Code of Professional Conduct for Registered Auditors (IRBA Code), as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

In terms of the IRBA Rule on Enhanced Auditor Reporting for the Audit of Financial Statements of Public Interest Entities, published in Government Gazette No. 49309 dated 15 September 2023 (EAR Rule),

KPMG Incorporated, a South African company with registration number 1999/021543/21 and a member firm of the KPMG global organisation of independent member firms affiliated with KPMG International Limited, a private English company limited by guarantee.

KPMG Incorporated is a Registered Auditor, in public practice, in terms of the Auditing Profession Act 26 of 2005.

Chairperson: Prof B Marx
Chief Executive: J Pierce
Directors: Full list on website

The company's principal place of business is at KPMG Crescent, 85 Empire Road, Parktown

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we report:

Final materiality

The scope of our audit was influenced by our application of materiality. We set quantitative thresholds and overlay qualitative considerations to help us determine the scope of our audit and the nature, timing and extent of our procedures, and in evaluating the effect of misstatements, both individually and in the aggregate, on the financial statements as a whole. Based on our professional judgement, we determined materiality for the financial statements as a whole as follows:

	Group	Company
Overall materiality	R 48 500 000, which is 0.75% of total assets.	R 48 100 000, which is 0.75% of total assets.
Rationale for benchmark applied	We chose total assets as the benchmark because in our view, it is the benchmark that is most appropriate as Delta Property Fund Limited is a Real Estate Investment Trust (REIT). Investors typically invest in REITs as an indirect means of investing into property. Therefore, total assets best reflect the primary focus of the users of the consolidated and separate financial statements. We chose 0.75% (rounded) for Group and 0.75% (rounded) for Company which is based on our professional judgement after consideration of qualitative factors that impact both the Group and Company.	

Group audit scope

We tailored the scope of our audit in order to perform sufficient work to enable us to provide an opinion on the consolidated financial statements as a whole, taking into account the structure of the Group, the accounting processes and controls, and the industry in which the Group operates.

We performed risk assessment procedures to determine which of the Group's components are likely to include risks of material misstatement to the Group financial statements and which further audit procedures to perform at these components to address those risks. Our judgement included assessing the size of the components, nature of assets, liabilities and transactions within the components as well as specific risks.

In total, we identified 1 component, which is the Company, at which further audit procedures were performed on the entire financial information of the component, either because audit evidence needed to be obtained on all or a significant proportion of the component's financial information.

The Group engagement team performed audit procedures over the component (the Company), performed an analysis at an aggregated group level on the remaining financial information, taking into consideration the Group's operational structure and existence of common information systems.

Material uncertainty related to going concern

We draw attention to note 34 in the consolidated and separate financial statements, which indicates that as at 28 February 2026 the Group and Company's current liabilities exceeded its current assets (including non-current assets held-for-sale) by R2.5 billion and R2.5 billion respectively. As stated in note 34, these events or conditions, along with other matters as set forth in note 34, indicate that a material uncertainty exists that may cast significant doubt on the Group and Company's ability to

Independent Auditor's Report cont.

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



continue as a going concern. Our opinion is not modified in respect of this matter.

In terms of the EAR Rule, we have evaluated management's assessment of the Group and Company's ability to continue as a going concern as follows:

- Analysing the cash flow forecasts prepared up until 31 May 2027 by:
 - Evaluating the appropriateness of the underlying data and inputs used to generate the cash flow forecasts for consistency with other information tested by us, our understanding of the Group and Company's intentions, and the accuracy of past forecasts and implementation of initiatives;
 - Assessing the reasonability of managements assumptions used in determining the monthly forecasted cash flows, for the Group and Company and for each investment property; and
 - Challenging of managements budgets and forecasts which support the going concern assumptions by evaluating the feasibility of the Group and Company's plans to manage liquidity, including the quantum and timing of cash flows from disposal of assets and repayment of debt facilities.
- We inspected the correspondence with existing lenders to understand the financing options available to the Group and Company as a result of the renegotiation of existing debt facilitates and assess the level of associated uncertainty resulting from the covenants set by the lenders.
- Performing a sensitivity analysis of the operational cash flow forecasts excluding disposals, to determine how long management can service its operational costs and interest repayments without relying on the proceeds from disposal.
- Evaluating the Group and Company's going concern disclosures in the consolidated and separate financial statements against the requirements of IAS 1, *Presentation of Financial Statements*, based on our understanding of the events and conditions that have given rise to the material uncertainty.

Key audit matter

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the *Material uncertainty related to going concern* section, we have determined the matter described below to be the key audit matter to be communicated in our report.

In terms of the EAR Rule, we are required to report the outcome of audit procedures or key observations with respect to the key audit matter and these are included below.

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



Valuation of investment property	
Refer to the following material accounting policies notes to the consolidated and separate financial statements: Note 1.3 Investment property Note 1.4 Non-current assets held-for-sale Note 1.12 Significant judgements and estimation uncertainties Note 3: Investment property Note 11: Non-current assets held-for-sale Note 28: Fair value hierarchy	
Key audit matter	How the matter was addressed in our audit
Investment property, including properties classified as non-current assets held-for-sale, presents a significant portion of assets as they constitute 97% of the total assets of the Group and 96% of the total assets of the Company. These investment properties are measured at fair value. An independent panel of external valuers are appointed to conduct the Group and Company's year-end market valuations. The valuations involve making significant judgements and assumptions such as expected market rental growth, expected expense growth, vacancy period, discount rate and market capitalisation rate. The independent valuations were performed using the discounted cash flow method and the income capitalization method. These methods are based on open market values with consideration given to future earnings potential and applying an appropriate discount rate to the property. The valuation of investment property is classified as level 3 on the fair value hierarchy, which indicates there is estimation uncertainty involved based on the inputs used in the valuation. Our audit focused on the valuation of investment property due to the significance of its value on the consolidated and separate financial statements, the significance of the judgements and estimation uncertainty involved in determination of the valuations and the additional work effort required by the audit team, together with our own valuation specialist. Accordingly, the valuation of investment property is determined to be a key audit matter in respect of the consolidated and separate financial statements.	Our audit procedures included the following: With the assistance of our own valuation specialist: - We performed inquiries to obtain an understanding from the independent external valuers of the valuation process and methodologies adopted, the significant assumptions used, and critical judgements applied in the valuation process. - We compared the valuation techniques used by the independent valuers against the requirements of IAS 40 – <i>Investment Property</i> (IAS 40) and IFRS 13 – <i>Fair Value Measurement</i> (IFRS 13) and industry practices to confirm that the methodology used was appropriate. - We assessed the reasonability of the following significant inputs and assumptions used in the discounted cash flows valuation and income capitalisation method by comparing the inputs to observable market related data: - Expected market rental growth - Expected expense growth - Vacancy period - Market capitalisation rates - Discount rates - We compared a sample of the property valuations recorded in the financial statements to the valuation ranges determined by our valuation specialist and followed up with management on differences that were not within our acceptable range. Other procedures include: - We evaluated the professional competence, capabilities and objectivity of the independent external valuers engaged by the Group and Company to determine the fair value of the properties by assessing their professional

Independent
Auditor's Report cont.

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



Valuation of investment property	
Refer to the following material accounting policies notes to the consolidated and separate financial statements:	
Note 1.3 Investment property Note 1.4 Non-current assets held-for-sale Note 1.12 Significant judgements and estimation uncertainties Note 3: Investment property Note 11: Non-current assets held-for-sale Note 28: Fair value hierarchy	
Key audit matter	How the matter was addressed in our audit qualifications, experience and independence.
	• We tested a sample of data inputs used in the independent valuations by evaluating historical performance against actual performance for reasonableness of the data used. • We assessed the accuracy of rental revenue used in determination of the fair value of the properties by selecting a sample of tenants per property and inspecting that a lease contract exists for the tenant and the details per the contract are accurately recorded. • We evaluated the adequacy and completeness of the disclosures in accordance with IAS 40, IFRS 13 and IFRS 5, <i>Non-current Assets Held for Sale and Discontinued Operations</i> (IFRS 5). The results of our procedures were satisfactory, and we considered the fair value of Investment property to be acceptable.

Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled “Delta Property Fund Limited group and company financial statements for the year ended 28 February 2026”, which includes the Declaration by the Company Secretary, the Directors’ Report and the Audit Committee’s Report as required by the Companies Act of South Africa, which we obtained prior to the date of this report, and the Integrated Report, which is expected to be made available to us after that date. The other information does not include the consolidated and separate financial statements and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor’s report, we conclude that there is a material

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards) and the requirements of the Companies Act of South Africa and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group and Company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and/or company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group and Company’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial

Independent
Auditor’s Report cont.

Docusign Envelope ID: 958D9F41-44A2-8A4F-82B1-B337AA11ED2F



statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the group and/or company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence, regarding the financial information of the entities or business units within the group, as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor’s report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

Audit tenure

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that KPMG Inc. has been the auditor of Delta Property Fund Limited for four years.

Disclosure of fee-related matters

In terms of the EAR Rule, we disclose the following fee-related matters:

Categories of services	Amount
Financial statement audit	R 4 502 500
Other services	R 250 000

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KPMG Inc.
Registered Auditor

Signed by:
KPMG Inc.
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Per Z.A. Beseti
Chartered Accountant (SA)
Registered Auditor
Director
29 May 2026

Statement of
Financial Position
As at 28 February 2026

		GROUP		COMPANY	
Figures in R'000	Notes	2026	2025	2026	2025
Assets					
Non-current assets					
Investment property		5 689 578	5 380 209	5 447 957	5 218 629
Fair value of investment property	3	5 625 189	5 313 816	5 384 341	5 152 902
Straight line rental income accrual	4	64 389	66 393	63 616	65 727
Property, plant and equipment	5	5 825	1 441	10 597	1 374
Investment in subsidiaries	6	-	-	62 274	62 274
Investment in listed security	7	-	34 422	-	34 422
Loan due from subsidiaries	8	-	-	138 296	116 880
Total non-current assets		5 695 403	5 416 072	5 659 124	5 433 579
Current assets					
Trade and other receivables	9	160 540	155 396	152 530	146 855
Cash and cash equivalents	10	9 389	6 194	9 387	6 187
Current assets		169 929	161 590	161 917	153 042
Non-current assets held-for-sale	11	611 038	1 009 490	611 038	938 890
Total current assets		780 967	1 171 080	772 955	1 091 932
Total assets		6 476 370	6 587 152	6 432 079	6 525 511
Equity and liabilities					
Equity					
Share capital	12	4 868 462	4 868 462	4 868 462	4 868 462
Accumulated loss		(2 324 682)	(2 451 689)	(2 357 301)	(2 502 936)
Total equity		2 543 780	2 416 773	2 511 161	2 365 526
Liabilities					
Non-current liabilities					
Interest-bearing borrowings	13	588 246	1 372 062	588 246	1 372 062
Lease liabilities	14	11 516	16 628	11 037	7 974
Deferred taxation liability	15	7 522	2 597	7 522	2 597
Total non-current liabilities		607 284	1 391 287	606 805	1 382 633
Current liabilities					
Interest-bearing borrowings	13	2 978 098	2 449 290	2 978 098	2 449 290
Interest accrual on interest-bearing borrowings	13	29 432	36 359	29 432	36 359
Lease liabilities	14	5 162	5 762	62	2 386
Trade and other payables	16	190 948	180 732	183 362	177 657
Current tax payable	17	26 907	21 219	25 973	21 735
Loans from subsidiaries	8	-	-	4 205	4 205
Bank overdraft	10	94 759	85 730	92 981	85 720
Total current liabilities		3 325 306	2 779 092	3 314 113	2 777 352
Total liabilities		3 932 590	4 170 379	3 920 918	4 159 985
Total equity and liabilities		6 476 370	6 587 152	6 432 079	6 525 511

Statement of
Profit or Loss and Other Comprehensive Income
For the year ended 28 February 2026

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Rental income	18	1 150 800	1 140 419	1 131 756	1 125 720
Straight line rental income accrual	4	(2 887)	3 002	(2 923)	2 470
Revenue		1 147 913	1 143 421	1 128 833	1 128 190
Property operating expenses	3	(472 972)	(422 014)	(463 038)	(412 668)
Net operating income		674 941	721 407	665 795	715 522
Other income		18 682	19 455	18 680	14 270
Loss on foreign exchange movements		(969)	(2 910)	(969)	(2 910)
Administration expenses	20	(93 905)	(101 732)	(94 439)	(106 039)
Fair value adjustments	19	5 054	(222 504)	(383)	(209 994)
Investment property and non-current assets held-for-sale		20 405	(178 286)	14 968	(165 778)
Financial instruments		(15 351)	(44 218)	(15 351)	(44 216)
ECL provisions		(27 368)	(25 535)	5 156	(43 198)
Profit from operations		576 435	388 181	593 840	367 651
Finance income	21	4 563	2 630	4 561	2 618
Finance costs	22	(412 397)	(463 005)	(411 825)	(461 988)
Profit/(loss) before taxation		168 601	(72 194)	186 576	(91 719)
Taxation	23	(41 594)	(32 017)	(40 941)	(32 111)
Profit/(loss) for the year		127 007	(104 211)	145 635	(123 830)
Other comprehensive income/(loss)		-	-	-	-
Total comprehensive profit/(loss) for the year		127 007	(104 211)	145 635	(123 830)
Basic and diluted earnings/(loss) per share					
Basic and diluted earnings/(loss) per share (cents)	24	17.8	(14.6)		

Statement of
Changes in Equity - Group

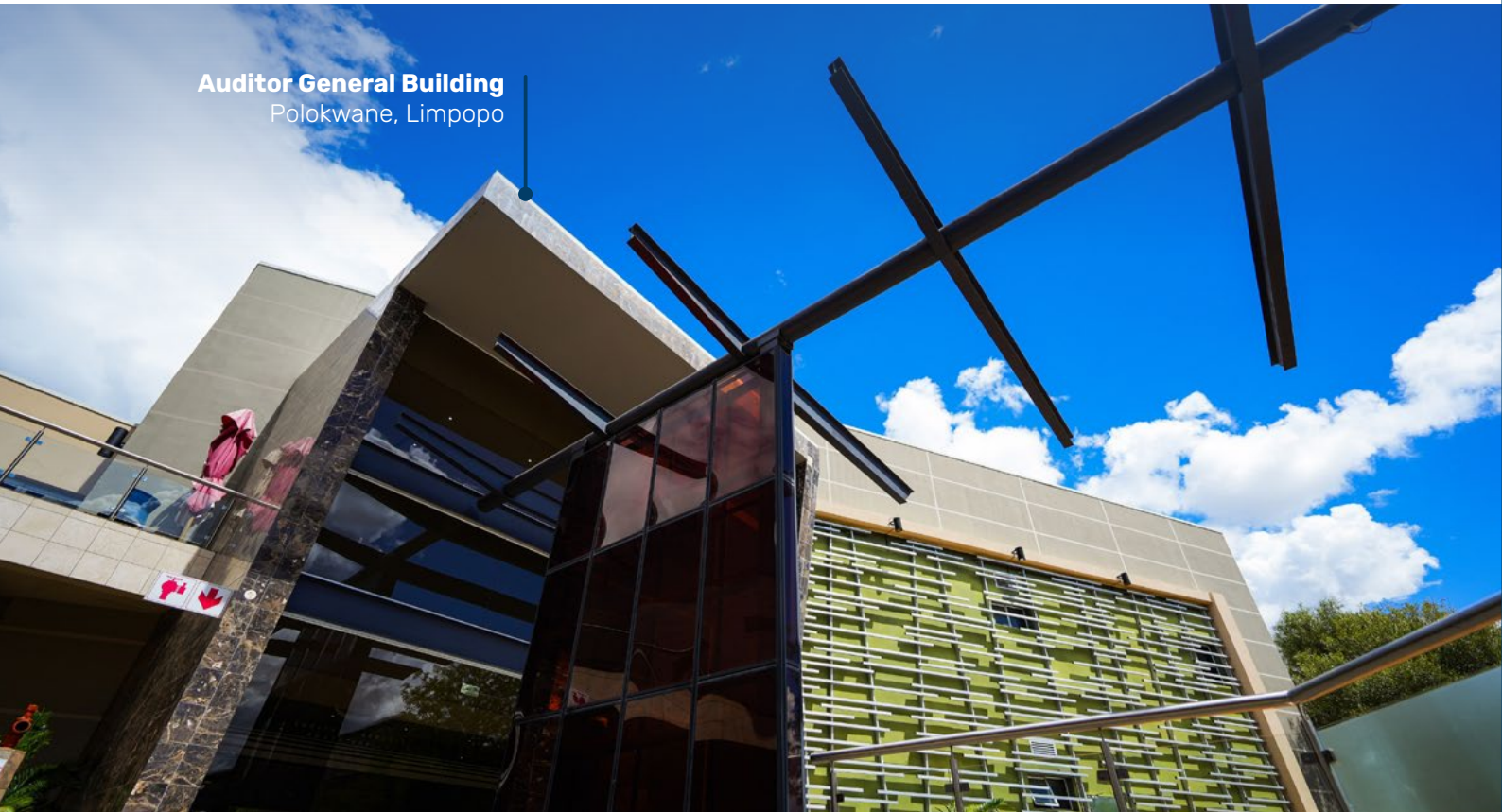
For the year ended 28 February 2026

Figures in R'000	SHARE CAPITAL	ACCUMULATED LOSS	TOTAL
Balance at 1 March 2024	4 868 462	(2 347 478)	2 520 984
Total comprehensive loss for the year	-	(104 211)	(104 211)
Balance at 28 February 2025	4 868 462	(2 451 689)	2 416 773
Changes in equity			
Total comprehensive profit for the year	-	127 007	127 007
Balance at 28 February 2026	4 868 462	(2 324 682)	2 543 780
Note	12		

Statement of
Changes in Equity - Company

For the year ended 28 February 2026

Figures in R'000	SHARE CAPITAL	ACCUMULATED LOSS	TOTAL
Balance at 1 March 2024	4 868 462	(2 379 106)	2 489 356
Total comprehensive loss for the year	-	(123 830)	(123 830)
Balance at 28 February 2025	4 868 462	(2 502 936)	2 365 526
Changes in equity			
Total comprehensive profit for the year	-	145 635	145 635
Balance at 28 February 2026	4 868 462	(2 357 301)	2 511 161



Auditor General Building
Polokwane, Limpopo

Statement of
Cash Flows

For the year ended 28 February 2026

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Cash flows from operating activities					
Cash generated from operations	25	591 648	565 366	578 078	560 231
Finance costs paid		(407 953)	(446 438)	(407 045)	(445 420)
Finance income received	21	210	2 630	210	2 618
Taxation paid		(31 778)	(28 709)	(31 778)	(28 658)
Taxation received		800	2 513	-	-
Net cash flows from operating activities		152 927	95 362	139 465	88 771
Cash flows from investing activities					
Acquisition of property, plant and equipment		(186)	(288)	(186)	(230)
Capital expenditure on investment property and non-current assets held- for-sale		(80 379)	(44 601)	(76 311)	(44 601)
Proceeds from disposal of investment property*		13 028	10 883	13 028	10 882
Loans advanced to subsidiaries		-	-	(3 570)	(5 401)
Proceeds from loans due from subsidiaries		-	-	14 664	16 122
Net cash flows from investing activities		(67 537)	(34 006)	(52 375)	(23 228)
Cash flows from financing activities					
Repayment of lease liabilities		(3 143)	(3 910)	(3 068)	(8 104)
Repayment of interest-bearing borrowings*		(103 082)	(92 920)	(103 082)	(92 920)
Advance of interest-bearing borrowings		15 000	35 000	15 000	35 000
Net cash flows from financing activities		(91 225)	(61 830)	(91 150)	(66 024)
Net movement in cash and cash equivalents		(5 835)	(474)	(4 060)	(481)
Cash at beginning of the year		(79 535)	(79 061)	(79 534)	(79 053)
Total cash at the end of the year	10	(85 370)	(79 535)	(83 594)	(79 534)

* Total debt repayments during the year amounted to R291.3m (FY25: R237.5m), comprising scheduled principal repayments of R103.1m and direct facility settlements of R188.2m from asset disposals. These disposal-related settlements consisted of R170.1m from property sales and R18.1m from the sale of the investment in Grit. Because these proceeds were settled directly into the debt facility by the buyers, both the R170.1m and R18.1m portions were treated as non-cash transactions for purposes of the Statement of Cash Flows.

The total consideration received from the disposal of non-core properties was R185.4m. Of this amount, R170.1m was settled directly into the debt facility by the buyers and R2.3m was deducted for selling costs. Because both the debt settlement and the selling costs were processed directly without flowing through the Group's bank accounts, they were treated as non-cash transactions, resulting in net physical cash received by the Group of R13.0m.

Material

Accounting Policies

For the year ended 28 February 2026

1. Presentation of Consolidated and Separate Financial Statements

The Group and Company financial statements have been prepared in accordance with IFRS® Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards). The Group and Company financial statements comply with the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and SAICA Financial Reporting Guides as issued by the Accounting Practices Committee, the JSE Listings Requirements and the requirements of the Companies Act of South Africa.

The financial statements are prepared on the historic cost basis, except for investment property and certain financial instruments which are carried at fair value and incorporate the principal accounting policies set out below.

Material accounting policies are consistent with those applied in the prior year with the exception of the accounting policies adopted in the current year, refer to note 2. The financial statements are prepared on a going concern basis. They are presented in Rand and all values are rounded to the nearest thousand (R'000) except where otherwise indicated.

1.1 Basis of consolidation

The Group financial statements incorporate the annual financial statements of the Company and all entities which are controlled by the Company.

The Company controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

The results of the subsidiaries are included in the consolidated financial statements from the effective date of acquisition to the effective date of disposal. On acquisition, the Group recognises the subsidiary's identifiable assets, liabilities and contingent liabilities at fair value.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated. When necessary, amounts reported by subsidiaries have been adjusted to conform with the Group's accounting policies.

Changes in ownership interests in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity.

1.2 Investment in subsidiaries

Subsidiaries are entities over which the Company has the ability to control the financial and operating activities so as to obtain benefit from the activities. In the separate financial statements of the Company, investments in subsidiaries are carried at cost less any accumulated impairment.

1.3 Investment property

Investment property consists of land and buildings and installed equipment held to earn rental income for the long term and subsequent capital appreciation. Investment property is recognised as an asset when, and only when, it is probable that the future economic benefits that are associated with the investment property will flow to the Company and the cost of the investment property can be measured reliably.

Investment property is initially recognised at cost, including transaction costs and subsequently at fair value with any change therein recognised in profit or loss. Cost includes initial costs, costs incurred subsequently to extend or refurbish investment property, as well as the cost of any development rights.

Initial direct costs incurred in negotiating and arranging operating leases are capitalised to the carrying amount of the leased asset and recognised as an expense over the lease term on the same basis as the lease income. Rental income is recognised in profit or loss on a straight-line basis over the term of the lease.

Investment properties are valued at financial year-end, unless circumstances have materially changed during the period, that indicate a material change from the previous valuation and are adjusted to fair value as at the reporting date. Valuations are done annually for the entire property portfolio by external independent valuers on the open market value basis and the valuers use either the discounted cash flow method or the capitalisation of net income method or a combination of the methods.

The discounted cash flow model generates a net present value for each property by discounting forecast future cash flows and a residual value at the end of the cash flow projection period by the discount rate of each property. The residual value is calculated by capitalising the net income forecast for the 12-month period immediately following the final year of the cash flow at the exit capitalisation rate. The discount rate applied by each valuator is determined by adding a growth rate per property, based on forecast market-related rental increases, to the determined capitalisation rate per property. The discount rate is then tested for reasonableness by benchmarking the rate against recent comparable sales and surveys prepared by the Morgan Stanley Capital International Index (MSCI) and the South African Property Owners Association (SAPOA). The capitalisation rate is dependent on a number of factors such as location, the condition of the property, current market conditions, the lease covenants and the risk inherent in the property and is also tested for reasonableness by benchmarking against comparable recent sales and surveys prepared by MSCI/SAPOA.

The capitalisation approach determines the net normalised annual income of the property, assuming the property is fully let at market-related rentals and market escalations, with an allowance made for vacancies (where applicable). Market related operating expenses are subtracted resulting in a net annual income, which is then capitalised into perpetuity at a market-related rate. The capitalisation rate is best determined, where possible, by referring to market transactions of comparable properties as it is based on information derived from market analysis. The capitalisation rate must consider the prevailing interest rate. The higher the interest rate, the better return an investor will require. Similarly, risk is another factor that will influence the capitalisation rate. The higher the risk factor, the better the return an investor will require. The risk inherent to income-producing properties is the degree of certainty that the income stream will be realised despite the uncertainty of the future.

Any gain or loss arising from a change in fair value is included in profit or loss for the period in which the fair value adjustments arises.

Gains and losses on the disposal of investment properties are recognised in profit or loss as fair value adjustments and are calculated as the difference between the proceeds received and the carrying value of the property.

1.4 Non-current assets held-for-sale

A non-current asset or a disposal Group comprising assets and liabilities is classified as held-for-sale if it is expected that its carrying amount will be recovered principally through sale rather than through continuing use, it is available for immediate sale and the sale is highly probable to occur within one year. When a disposal is not concluded within a year, the Group re-assesses whether the disposal is still likely to occur within the year, the reassessment includes testing whether:

- Management is still committed to the sale of the assets based on the strategy and ALICO's approval;
- The asset is being actively marketed, CBRE-X and other marketing platforms are used to market the properties;
- An active program to find a buyer has been initiated, the marketing of the properties on the above platforms represents an initiation to find a buyer;
- Sale will be completed within one year of the classification date, accepted offers or offers that are acceptable are used to confirm whether the sale will be completed within one year; and
- There are no significant changes to the plan that might impact the sale. Based on the results of the assessment adjustments are made where relevant, being a transfer to/from non-current assets held-for-sale. The same considerations are conducted for all properties that are earmarked for disposal.

Where the Group is committed to a sale plan involving the loss of control of a subsidiary, it classifies all the assets and liabilities of that subsidiary as held-for-sale when the criteria set out above and detailed in IFRS 5: Non-current Assets Held-for-Sale and Discontinued Operations are met, regardless of whether the Group will retain a non-controlling interest in its former subsidiary after the sale.

Non-current assets and disposal Groups held-for-sale are measured at the lower of their carrying amount and fair value less costs of disposal, with any impairment losses recognised in profit or loss. However, certain items, such as financial assets within the scope of IFRS 9: Financial Instruments, deferred tax assets and investment property, continue to be measured in accordance with the Group's accounting policies.

Assets classified as held-for-sale are not depreciated or amortised, and any equity accounted investee, or a portion thereof is no longer equity-accounted. Non-current assets

Material

Accounting Policies cont.

For the year ended 28 February 2026

held-for-sale are presented separately from other assets and liabilities on the statement of financial position. Prior periods are not reclassified.

1.5 Financial instruments

Financial instruments are contracts that give rise to a financial asset of one entity and a financial liability or equity instrument of another entity. IFRS 9 specifies how an entity should classify and measure financial assets, financial liabilities, and some contracts to buy or sell non-financial items.

Financial asset**(i) Classification**

The Group classifies its financial assets in the following measurement categories:

- Those to be measured at amortised cost; or
- Those to be measured subsequently at fair value through profit or loss

The classification is based on the business model for managing the asset and the asset's contractual cash flow characteristics as follows:

- Amortised cost – a financial asset is measured at amortised cost if both of the following conditions are met:
 - the asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows; and
 - the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.
- Fair value through profit or loss (FVTPL) – any financial assets that are not held at amortised cost are measured at fair value through profit or loss.

All affected financial assets are only reclassified when the business model for managing financial assets changes.

(ii) Recognition and derecognition

Financial assets are recognised when the Group becomes a party to the contractual provisions of the arrangement. Regular purchases and sales of financial assets are recognised on the date on which the Group commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

(iii) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss.

The following accounting policies apply to the subsequent measurement of financial assets:

- Financial assets at amortised cost: Assets that are held for collection of contractual cash flows, where those cash flows represent solely payments of principal and interest is measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
- Financial assets at FVTPL: Assets that do not meet the criteria for amortised cost are measured at FVTPL. These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss in the period in which it arises.

(iv) Impairment

At each reporting date, the Group recognises loss allowances for expected credit losses (ECL) on financial assets measured at amortised cost. For trade receivables, the Group applies the simplified impairment approach, and therefore measures the loss allowance at an amount equal to lifetime ECLs. Loss allowances for all other receivables, inter-Company and related party loans were valued based on the risk of the counterparty under the general approach.

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e., the difference between the cash flows due to the entity in accordance with the contract and the cash flows that Delta expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

The Group assesses on a forward-looking basis the ECL associated with its debt instruments carried at amortised cost. The methodology applied depends on whether there has been a significant increase in credit risk. To assess whether there is a significant increase in credit risk, the Group compares the risk of a default occurring on the asset as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportive forward-looking information.

Significant increase in credit risk

The Group presumes that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise. Despite the foregoing, the Group assumes that the credit risk on a financial instrument has not increased significantly since initial recognition if the financial instrument is determined to have low credit risk at the reporting date. A financial instrument is determined to have low credit risk if:

- the financial instrument has a low risk of default;
- the debtor has a strong capacity to meet its contractual cash flow obligations in the near term; and
- adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations. The Group considers a financial asset to have low credit risk when the asset has external credit rating of 'investment grade' in accordance with the globally understood definition or if an external rating is not available, the asset has an internal rating of 'performing'. Performing means that the counterparty has a strong financial position and they are not at the default stage.

Trade receivables

For trade receivables, the Group applies the simplified approach permitted by IFRS 9: Financial Instruments, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

Trade receivables are generally collected within 30 days of invoice, which are standard credit terms. A specific provision is made for all debtors in the following circumstances where:

- A debtor has vacated and is in arrears.
- Legal action has been taken and the assessment of recovering the debt is doubtful.
- Debtors that are active and in arrears greater than 90 days.

The ECL (general) provision is applied to all remaining balances that are not subject to a specific provision.

The expected loss rates are based on the payment profiles of trade receivables and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward-looking information on macro-economic factors affecting the ability of the tenants

to settle the receivable. Such forward looking information would include:

- changes in economic, regulatory, technological and environmental factors (such as industry outlook, GDP, employment and politics); and
- external market indicators

Default

The Group considers that default has occurred when a financial asset is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract, such as a default or past due event;
- the lender(s) of the borrower, for economic or contractual reasons relating to the borrower's financial difficulty having granted to the borrower a concession(s) that the lender(s) would not otherwise consider;
- it is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- the disappearance of an active market for that financial asset because of financial difficulties.

The Group considers trade and other receivables to be unrecoverable and are derecognised (written off) when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, among others, the probability of insolvency or significant financial difficulties of the debtor.

Loan receivables

Loan receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less ECL. The Group holds the loan receivables with the objective to collect the contractual cash flows.

Investment in listed investments

At initial recognition, the Group recognises equity instruments at fair value. After initial recognition, changes in fair value are recognised in profit or loss. Dividends from such investments continue to be recognised in profit or loss as investment income when the Group's right to receive payment is established.

Material

Accounting Policies cont.

For the year ended 28 February 2026

Cash and cash equivalents

Cash and cash equivalents are recognised initially at fair value and include cash on hand, deposits held at call with financial institutions, and other short-term highly liquid investments that are readily convertible into known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are included in cash and cash equivalents for the purposes of the statement of cash flows where they form an integral part of the Group's cash management and are repayable on demand. In such cases, the overdraft fluctuates regularly with cash receipts and payments. The Group's overdraft facility is used to meet working capital requirements in the ordinary course of business, with all incoming funds automatically applied against the overdraft balance. As such, the overdraft is considered an integral part of the Group's cash management. Bank overdrafts are presented separately under current liabilities in the consolidated statement of financial position.

Financial liabilities

The Group recognises a financial liability when it first becomes a party to the contractual rights and obligations in the contract. All financial liabilities are initially recognised at fair value minus (in the case of a financial liability that is not at FVTPL) transaction costs that are directly attributable to issuing the financial liability. Financial liabilities are subsequently measured at amortised cost, unless the Group opted to measure a liability at FVTPL.

Financial liabilities are derecognised when, and only when, the Group's obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

All loans and borrowings are initially recognised at fair value less directly attributable transaction costs. After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the effective interest method.

Borrowings denominated in a foreign currency are recognised on the transaction date at the ruling rand equivalent spot rate. The carrying amount is then translated to the rand equivalent using the spot rate at the end of each reporting period. Any resulting foreign exchange gains or losses are recognised in profit or loss.

Financial liabilities included in trade and other payables are recognised initially at fair value plus transaction costs, if any, and subsequently measured at amortised cost using the effective

interest method. If the due date of the liability is less than one year, discounting is omitted. Derivative financial assets and liabilities are classified as financial assets or liabilities at FVTPL.

Derivative financial assets and liabilities comprise mainly interest rate swaps for hedging purposes (economic hedge). Recognition of the derivative financial instruments takes place when the economic hedging contracts are entered into.

They are measured initially and subsequently at fair value; transaction costs are included directly in finance costs. Gains or losses on derivatives are recognised in profit or loss in changes in fair values of financial instruments. The Group does not apply hedge accounting in accordance with IFRS 9.

1.6 Taxation

Current taxation

Current and deferred taxes are recognised as income or an expense and included in profit or loss for the year, except to the extent that the tax arises from a transaction or event which is recognised outside profit or loss (either in other comprehensive income or directly in equity).

The charge for current taxation includes expected tax payable or receivable on the taxable income or loss for the year and any adjustment for taxation payable or receivable in respect of prior years. Current tax liabilities (or assets) for the current and prior periods are measured at the amount expected to be paid to (or recovered from) the taxation authorities, using the taxation rates and laws that have been enacted or substantively enacted by the reporting date.

Deferred taxation

Deferred taxation is recognised using the balance sheet liability method for all temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the corresponding tax bases used in the computation of taxable profit.

Deferred tax is not recognised for:

- Temporary differences arising from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither accounting profit nor taxable profit or loss;
- Temporary differences related to investments in subsidiaries and jointly controlled entities, to the extent that it is probable that the temporary differences will not reverse in the foreseeable future;
- Temporary differences arising on the initial recognition of an asset or liability in a transaction that at the time of

the transaction does not give rise to equal taxable and deductible temporary differences;

- Deferred tax assets in respect of assessed losses, unless it is probable that future taxable profits will be available against which the losses can be utilised.

Deferred tax assets and liabilities are measured using the tax rates and laws that have been enacted or substantively enacted by the reporting date and are expected to apply to the period when the related asset is realised or the liability is settled.

1.7 Leases

The Group as a lessor

As a lessor, the Group classifies its leases as operating leases. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of the underlying asset and classified as an operating lease if it does not.

Properties leased to third parties under operating leases are included in investment properties in the statement of financial position.

The Group provides certain incentives for the lessee to enter into lease agreements. Initial periods of the lease term may be agreed to be rent-free or at a reduced rent. All incentives are recognised as an integral part of the net consideration agreed for the use of the leased asset, irrespective of the incentive's nature or form or the timing of the payments.

Initial direct costs incurred in negotiating and arranging operating leases are capitalised to the carrying amount of the leased asset and recognised as an expense over the lease term on the same basis as the lease income.

Rental income (net of any incentives given to lessees) is recognised on a straight-lining basis over the lease term.

The Group as a lessee

At initial recognition

The ROU asset is measured at its cost, which includes:

- The amount of the initial measurement of the lease liability.
- Any lease payments made at or before the commencement date (less any lease incentives received).
- Any initial direct costs incurred by the Group.

The lease liability is measured at the present value of future lease payments at commencement date, which are expected to be paid over the lease term.

Lease liabilities include the net present value of the following lease payments:

- Fixed payments (including in-substance fixed payments), less any lease incentives.
- Variable lease payments that depend on an index or rate, initially measured at the applicable index or rate at the lease commencement date.
- The exercise price of a purchase option, if the Group is reasonably certain to exercise that option, or the penalty payable on the exercise of a termination option unless the Group is reasonably certain not to exercise the option.
- Any amounts expected to be payable under residual value guarantees.

The Group's variable lease payments are not dependent on an index or a rate. As such, these lease payments are not included in the measurement of the lease liability.

The Group recognises the lease payments associated with short-term leases and leases for which the underlying asset is of low value as an expense on the accrual basis of accounting. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability. Extension and termination options are included in a number of property leases across the Group. These are used to maximise operational flexibility in terms of managing the investment properties used in the Group's leasing activities. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, the Group uses the lessee's incremental borrowing rate, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the ROU asset in a similar economic environment with similar terms and conditions.

Subsequent measurement

The Group measures the ROU assets that meet the definition of investment property using the fair value model applied to its investment property accounting policy (refer to note 3: Investment property), consequently no depreciation is recognised over the land lease.

Depreciation for ROU assets recognised as property, plant and equipment is charged over the term of the lease agreement.

Material

Accounting Policies cont.

For the year ended 28 February 2026

The lease liability is measured as follows:

- Increasing the carrying amount to reflect interest on the lease liability.
- Reducing the carrying amount to reflect the lease payments made.
- Remeasuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in-substance fixed lease payments.

Where the Group is exposed to potential future increases in variable lease payments based on an index or rate, these are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the ROU asset.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

1.8 Share capital

Ordinary shares are classified as equity. External costs directly attributable to the issue of new shares are shown as a deduction in equity from the proceeds.

1.9 Income

Revenue recognition: Revenue includes contractual rental income, non-gross lettable income, tenant installations, parking income, operating cost recovery and investment income.

Income received in advance shall be separately presented as part of trade and other payables. As per IFRS 16: Leases, rental income from operating leases is recognised on a straight-line basis over the lease term. When the Group provides incentives to its tenants, the cost of the incentives is recognised over the lease term, on a straight-line basis, as a reduction of rental income.

As per IFRS 15: Revenue from Contracts with Customers, revenue from service and property management charges is recognised in the accounting period in which control of the services is passed to the customer, which is when the service is rendered over time. For certain service contracts, revenue is recognised based on the actual service provided to the end of the reporting period as a proportion of the total services to be provided because the customer receives and uses the benefits simultaneously.

Some property management contracts may include multiple elements of service that are provided to tenants. The Group assesses whether individual elements of service in the contract are separate performance obligations. Where the contracts include multiple performance obligations and/or lease and non-lease components, the transaction price will be allocated to each performance obligation (lease and non-lease component) based on the relative standalone selling prices. Where these selling prices are not directly observable, they are estimated based on an expected cost-plus margin. In the case of fixed price contracts, the customer pays the fixed amount based on a payment schedule. If the services rendered by the Group exceed the payment, a contract asset is recognised. If the payments exceed the services rendered, a contract liability is recognised.

Revenue is measured at the transaction price agreed under the contract. Amounts disclosed as revenue are net of variable consideration and payments to customers, which are not for distinct services. This consideration may include discounts, trade allowances, rebates and amounts collected on behalf of third parties. For arrangements that include deferred payment terms that exceed 12 months, the Group adjusts the transaction price for the financing component, with the impact recognised as interest income using the effective interest rate method over the period of the financing.

A receivable is recognised when services are provided and control passes to the customer, as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due. When the Group acts as an agent, the commission rather than gross income is recorded as revenue.

The Group pays lease commissions in order to secure certain contracts; these lease commissions are assessed to be an incremental cost of obtaining a contract. For lease commissions paid in relation to revenue contracts, which are for a period greater than one year, the lease commissions are capitalised as an other non-current asset and amortised over the period of the revenue contract to which it relates.

Operating expenses

Property operating expenses comprise utility charges, assessment rates, cleaning, insurance, security, repairs and maintenance and direct property related expenses.

Finance income

Interest earned on cash invested with financial institutions is recognised as it accrues using the effective interest method.

Dividend income

Dividends are recognised, in profit or loss, when the Group's right to receive payment has been established.

1.10 Segment reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. The Group determines and presents operating segments based on information that is provided internally to the Executive Management Committee (Exco) and to the Board of directors. The Exco reviews internal management reports of each segment monthly, while the Board reviews internal management reports in respect of each segment at least quarterly.

The operations are arranged into three business segments: Office-Sovereign, Office other and corporate costs (Head Office). The property classification is a function of the majority of tenants occupying the premises.

1.11 Earnings, headline earnings and SA REIT funds from operations (previously distributable earnings) per share, SA REIT net asset value and SA REIT loan to value

Earnings per share are calculated based on the weighted average number of shares in issue for the year and profit attributable to shareholders. Headline earnings per share are calculated in terms of the requirements set out in Circular 01/2023 issued by SAICA. SA REIT funds from operations (previously distributable earnings) per share, SA REIT net asset value and SA REIT loan to value are calculated based on the recommendation provided by the SA REIT's best practice guideline. These measures are Non-IFRS Accounting Standards Financial information and has been compiled to provide investors with performance metrics that are commonly used in the industry to enable direct comparison with South African Real Estate Investment Trusts.

1.12 Significant judgements and estimation uncertainties

Estimates and assumptions are an integral part of financial reporting and as such have an impact on the amounts reported for the Group's income, expenses, assets and liabilities. Judgements are opinions and decisions about substance, facts and circumstances relating to a transaction and event. Estimates in these areas are based on historical experience and reasonable expectations relating to future events.

Investment property valuations

The valuation of investment properties requires judgement in determination of the future cash flows and appropriate discount rates. Refer to note 3.

Impairment of trade and other receivables

Management assesses impairments of trade and other receivables on an ongoing basis. See policy note 1.5 (iv) above and notes 9. In determining the recoverability of the trade receivables, judgement on the current economic environment is taken into account. The following indicators are especially assessed:

- Actual or expected significant adverse changes in business
- Financial or economic conditions that are expected to cause a significant change to the tenants' ability to meet its rental obligations.

Operating segments

Judgement is applied in aggregating the operating segments within the Group. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses. The Group identifies and presents operating segments based on the information that is provided internally to the Exco. An operating segment's operational results are reviewed regularly by the Exco to make decisions about resources to be allocated to the segments and assess its performance for which discrete financial information is available.

The Group comprises three segments, namely, Office -Sovereign, Office other and Head Office.

2. Changes in Accounting Policies and Disclosures

The Group applies all applicable IFRS Accounting Standards as issued by the International Accounting Standards Board in preparation of the financial statements. Consequently, all IFRS Accounting Standards statements that were effective at the date of issuing these financial statements, and are relevant to the Group's operations, have been applied.

Standards and Interpretations effective and adopted in the current year

At the date of authorisation of these financial statements for the year ended 28 February 2026, the following IFRS Accounting Standards were adopted:

Material

Accounting Policies cont.

For the year ended 28 February 2026

Lack of Exchangeability (IAS 21)

The amendment clarifies when a currency is exchangeable and how to estimate the spot exchange rate when exchangeability is lacking. It also introduces new disclosure requirements to help users assess the impact of using these estimated rates on the financial statements. As the Group currently holds only local assets and has no foreign operations or unexchangeable currency exposures, the impact of these amendments on the financial statements is nil.

New standards and interpretations not yet adopted

IFRS Accounting Standards	Description	Effective date	Impact on financial statements
IFRS 9 and IFRS 7	Presentation and Disclosure in Financial Statements IFRS 9 amendments The amendments provides guidance for when a financial liability should be derecognised when it is settled by electronic payment. The liability is discharged should there be no ability to withdraw payment and the settlement risk associated with the electronic payment is insignificant. Additionally, guidance is given to help an entity assess whether the contractual cash flows of a financial asset are consistent with a basic lending arrangement and to clarify the characteristics of contractually linked instruments. The amendments also specify that transactions that contain multiple debt instruments are not automatically contracts with multiple contractually linked instruments, and so they must be carefully assessed before a final determination is made. IFRS 7 amendments The amendments to IFRS 7 add new required disclosures for any investments in equity instruments designated at fair value through other comprehensive income. When there are contractual terms that could change the contractual cash flows based on the outcome of a contingent event not directly related to basic lending risk, an entity must now disclose certain information surrounding the related contingent event as well as possible changes to cash flows and the gross carrying value and amortised cost of the related financial asset or liability.	Annual periods beginning on or after 1 January 2026.	Not expected to materially impact the Group.
IFRS 18	Presentation and Disclosures in Financial Statements IFRS 18 includes requirements for all entities applying IFRS Accounting Standards for the presentation and disclosure of information in financial statements.	Annual periods beginning on or after 1 January 2027	Management has reassessed the potential impact of this standard and expects it to have a material impact on the Group's presentation and disclosures.

IFRS 19	Subsidiaries without public accountability: Disclosures The amendment specifies reduced disclosure requirements that an eligible entity is permitted to apply instead of the disclosure requirements in other IFRS Accounting Standards.	Annual periods beginning on or after 1 January 2027	No impact for the Group is expected
IAS 21	Translation to a Hyperinflationary Presentation Currency The amendment standardises translation mechanics by requiring a company to use the closing rate at the reporting date to translate all financial statement items; including assets, liabilities, equity, income, expenses, and comparatives into a hyperinflationary presentation currency. This unified rate eliminates the previous accounting mismatch that artificially inflated the foreign currency translation reserve. Additionally, the amendment permits the use of a general price index to restate comparative figures for foreign operations, simplifying reporting by eliminating the need to reperform prior-period consolidation procedures.	Annual periods beginning on or after 1 January 2027.	No impact for the Group is expected.



Harlequins Office Park
Pretoria, Gauteng

Notes to the
Financial Statements
For the year ended 28 February 2026

3. Investment Property

		GROUP		COMPANY	
Figures in R'000	Notes	2026	2025	2026	2025
Carrying amount					
Cost		6 683 408	6 479 243	6 259 691	6 131 770
Fair value adjustments		(1 058 219)	(1 165 427)	(875 350)	(978 868)
Balance at the end of the year		5 625 189	5 313 816	5 384 341	5 152 902
Movements for the year					
Balance at the beginning of the year		5 313 816	5 294 521	5 152 902	5 123 023
Capital expenditure		73 623	42 212	69 654	42 156
Fair value adjustments	19	114 659	71 922	109 222	82 562
Transfer from/(to) non-current assets held-for-sale	11	123 091	(94 839)	52 563	(94 839)
Balance at the end of the year		5 625 189	5 313 816	5 384 341	5 152 902
Reconciliation to valuations					
Fair value of investment property		5 625 189	5 313 816	5 384 341	5 152 902
Straight-line rental income accrual	4	64 389	66 393	63 616	65 727
Valuations at the end of the year		5 689 578	5 380 209	5 447 957	5 218 629

Investment property including non-current assets held-for-sale of R6.3bn has been encumbered as security for interest-bearing borrowings (refer note 13) as follows:

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Standard Bank of South Africa				
Investment property pledged as security	1 112 001	1 089 995	1 072 001	1 051 295
Investment property held-for-sale pledged as security	16 600	74 100	16 600	74 100
	1 128 601	1 164 095	1 088 601	1 125 395
Facilities	(565 722)	(630 923)	(565 722)	(630 923)
Nedbank Limited*				
Investment property pledged as security	3 959 434	3 615 843	3 830 313	3 492 964
Investment property held-for-sale pledged as security	257 680	629 020	257 680	629 020
	4 217 114	4 244 863	4 087 993	4 121 984
Facilities	(2 500 394)	(2 629 605)	(2 500 394)	(2 629 605)
Bank of China*				
Facilities	(31 359)	(66 235)	(31 359)	(66 235)
Investec Limited				
Investment property pledged as security	618 143	674 370	545 643	674 370
Investment property held-for-sale pledged as security	336 758	306 370	336 758	235 770
	954 901	980 740	882 401	910 140
Facilities	(501 836)	(532 267)	(501 836)	(532 267)

* Included in the Nedbank facility are loans syndicated to State Bank of India and Bank of China. These funders share in the Nedbank security pool.

Bank of China, in addition to the syndicated loan, provided a direct facility to the Group. The security over this facility is included in the Nedbank security pool as a second mortgage.

Investment property valuation

A detailed register of investment property owned by the Group is available for inspection by shareholders at the registered office of the Company. Investment property is leased to tenants (mainly sovereign) on an operating lease basis for a fixed term period with fixed annual escalations and subject to fair value assessment on an annual basis.

A panel of independent external valuers are appointed to conduct the Group's year-end market valuations. The Group provided the valuers with property and other information required in the valuation of the properties. Among other inputs, the independent valuers applied current market-related assumptions to the risks in rental streams of properties. The valuations are then reviewed internally and presented at various forums within the Group. The Asset, Liability and Investment Committee, a sub-committee of the Board of directors, recommends the valuations to the Board that provides the final approval.

The valuers have recent experience valuing properties in both the relevant geographic location and the relevant property category.

All valuers are registered in compliance with section 19 of the Property Valuers Professional Act (Act No 47 of 2000). The independent valuers are as follows:

COMPANY NAME	QUALIFICATION OF VALUER
DNA Knight Frank	Professional Valuer (without restrictions), ND Real Estate (Property Valuation), NHD
Realworx Property Valuations	Professional Associate Valuer (without restrictions)
Real Insight	NDip (Prop Val), Professional Associate Valuer (without restrictions)
CBRE Excellerate	MSc Real Estate, Professional Associated Valuer, RICS Registered Valuer

Properties allocated to valuers are rotated on a three year cycle.

The independent valuations were performed using the discounted cash flow and income capitalisation methodology. These methods are based on open market values with consideration given to future earnings potential and applying an appropriate discount rate to the property (refer to note 1.3).



The Marine Building
Durban, KwaZulu-Natal

Notes to the
Financial Statements *cont.*
For the year ended 28 February 2026

At the reporting date, the key assumptions and unobservable inputs used in determining fair value were in the following ranges for the Group’s portfolio of properties:

Figures in R’000	GROUP		COMPANY	
	2026	2025	2026	2025
All sectors				
Expected market rental growth	2.0% - 5.5%	2.5% - 5.5%	2.0% - 5.5%	2.5% - 5.5%
Expected expense growth	6.00%	7.00%	6.00%	7.00%
Vacancy period	0-24 months	0-24 months	0-24 months	0-24 months
Office – sovereign				
Number of properties	53	56	52	56
Discount rate	13.5% - 16.5%	13.5% - 16.5%	13.5% - 16.5%	13.5% - 16.5%
Market capitalisation rate	9.3% - 12.8%	9.5% - 13.5%	9.3% - 12.8%	9.5% - 13.5%
Office – other				
Number of properties	19	27	17	27
Discount rate	12.8% - 17.0%	14.25% - 17.25%	12.8% - 17.0%	14.25% - 17.25%
Market capitalisation rate	9.0% - 13.0%	10.25% - 13.75%	9.0% - 13.0%	10.25% - 13.75%

The fair value adjustments on investment property (refer to note 19), which are excluded from the calculation of SA REIT funds from operations, are included in profit and loss and categorised as level 3 under the fair value hierarchy (refer to note 28) based on the inputs to the valuation technique used. Capital commitments are set out in note 29.

The valuations of the investment properties are sensitive to changes in the unobservable inputs used in such valuations. Changes to one of the unobservable inputs, while holding the other inputs constant, would have the following effects on the fair value of investment property and fair value adjustment in profit or loss:

An average growth rate of 3.8% was applied across the portfolio; minor fluctuations above or below this baseline do not materially impact the valuation.

The Group’s leasehold land held as lessee meets the definition of investment property per IAS 40 and is subsequently measured at fair value.

The fair value of investment property held by the Group as leasehold land reflects expected cash flows including variable lease payments that are expected to become payable.

IFRS 16 requires a lessor to disclose information about how it manages its risk associated with any rights that it retains in leased assets. Residual value risk is the possibility that investment property can only be resold or re-leased at a price below its residual value. The Group manages such risk by performing independent valuations annually, as disclosed above, which considers risks associated in the assessment of fair market value. Accordingly, the independent valuation exercise performed mitigates the residual risk associated with investment property.

Figures in R’000	% Changes	GROUP		COMPANY	
		2026	2025	2026	2025
Increase in discount rate	0.25	(108 089)	(108 400)	(103 904)	(104 400)
Decrease in discount rate	0.25	111 925	112 200	107 590	108 100
Increase in market capitalisation rate	0.25	(143 298)	(141 200)	(138 005)	(135 900)
Decrease in market capitalisation rate	0.25	150 118	147 700	144 582	142 200
Increase in rental growth rate	0.25	15 772	15 974	15 168	15 394
Decrease in rental growth rate	0.25	(15 772)	(15 974)	(15 168)	(15 394)

Direct operating expenses (including repairs, maintenance, rates, and utilities) arising from investment property and non-current assets held-for-sale recognised in profit or loss comprise^:

Group - Figures in R’000	GENERATED RENTAL INCOME		GENERATED NO RENTAL INCOME*		TOTAL	
	2026	2025	2026	2025	2026	2025
Utility charges	190 873	182 767	(255)	939	190 618	183 706
Assessment rates	124 612	109 176	6 017	3 234	130 629	112 410
Service contracts (excluding security)	51 530	42 135	88	270	51 618	42 405
Security	48 578	38 574	2 653	3 968	51 231	42 542
Repairs and maintenance	28 114	24 988	229	330	28 343	25 318
Insurance	15 770	12 574	437	470	16 207	13 044
Other property expenses	5 531	1 146	(1 205)	1 442	4 326	2 588
	465 008	411 360	7 964	10 653	472 972	422 014

Company - Figures in R’000	GENERATED RENTAL INCOME		GENERATED NO RENTAL INCOME*		TOTAL	
	2026	2025	2026	2025	2026	2025
Utility charges	188 232	180 237	(255)	939	187 977	181 176
Assessment rates	121 311	105 143	6 017	3 234	127 328	108 377
Service contracts (excluding security)	50 504	41 418	88	270	50 592	41 688
Security	46 299	36 726	2 653	3 968	48 952	40 694
Repairs and maintenance	27 460	24 868	229	330	27 689	25 198
Insurance	15 315	12 118	437	470	15 752	12 588
Other property expenses	5 953	1 506	(1 205)	1 442	4 748	2 948
	455 074	402 016	7 964	10 653	463 038	412 668

* Vacant properties throughout the financial period

^ This detailed breakdown of direct operating expenses was not separately disclosed in the prior year notes. Comparative figures have been disaggregated on the same basis to ensure consistency, impacting note presentation only with no effect on previously reported profits or financial position.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

4. Straight-line Rental Income Accrual

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Investment property				
Balance at beginning of the year	66 393	63 467	65 727	63 365
Straight-line lease adjustment for the year	(2 004)	2 926	(2 111)	2 362
Balance at the end of the year	64 389	66 393	63 616	65 727
Non-current assets held-for-sale				
Balance at beginning of the year	3 676	3 600	3 620	3 514
Straight-line lease adjustment for the year	(883)	76	(812)	106
Straight-line lease non-current asset held-for-sale	257	996	327	1 026
Disposal properties straight-line lease adjustment for the year	(1 140)	(920)	(1 139)	(920)
Balance at the end of the year	2 793	3 676	2 808	3 620
Total straight-line adjustment for the year	(2 887)	3 002	(2 923)	2 470

5. Property Plant and Equipment

	Motor vehicles	Furniture and fittings	Computer equipment	Right-of-use asset	Total
GROUP - 2026					
Carrying amount					
Cost	1 368	3 918	3 472	21 399	30 157
Accumulated depreciation	(1 368)	(3 649)	(3 016)	(16 299)	(24 332)
Balance at the end of the year	-	269	456	5 100	5 825
Balance at beginning of the year	198	309	328	606	1 441
Movements for the year:					
Additions*	-	-	186	6 050	6 236
Depreciation	(198)	(40)	(58)	(1 556)	(1 852)
Balance at the end of the year	-	269	456	5 100	5 825
GROUP - 2025					
Carrying amount					
Cost	1 368	3 918	3 286	15 349	23 921
Accumulated depreciation	(1 170)	(3 609)	(2 958)	(14 743)	(22 480)
Balance at the end of the year	198	309	328	606	1 441
Balance at beginning of the year	416	344	302	2 786	3 848
Movements for the year:					
Additions from acquisitions	-	-	230	58	288
Depreciation	(218)	(35)	(204)	(2 238)	(2 695)
Balance at the end of the year	198	309	328	606	1 441

* The addition of the right-of-use (ROU) asset relates to the lease between the holding company and Redefine over Silver Stream Office Park. The holding company has a joint operation with Redefine, 50% of the ROU asset has been eliminated.

	Motor vehicles	Furniture and fittings	Computer equipment	Right-of-use asset	Total
COMPANY - 2026					
Carrying amount					
Cost	769	3 918	3 384	22 960	31 031
Accumulated depreciation	(769)	(3 652)	(2 934)	(13 079)	(20 434)
Balance at the end of the year	-	266	450	9 881	10 597
Balance at beginning of the year	198	306	324	546	1 374
Movements for the year:					
Additions	-	-	186	12 100	12 286
Depreciation	(198)	(40)	(60)	(2 765)	(3 063)
Balance at the end of the year	-	266	450	9 881	10 597

COMPANY - 2025					
Carrying amount					
Cost	769	3 918	3 198	10 860	18 745
Accumulated depreciation	(571)	(3 612)	(2 874)	(10 314)	(17 371)
Balance at the end of the year	198	306	324	546	1 374
Balance at beginning of the year	416	341	308	7 835	8 900
Movements for the year:					
Additions	-	-	230	-	230
Depreciation	(218)	(35)	(214)	(7 289)	(7 756)
Balance at the end of the year	198	306	324	546	1 374



Notes to the
Financial Statements cont.
For the year ended 28 February 2026

6. Investment in Subsidiary

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
NAME OF SUBSIDIARY	SHAREHOLDING		SHAREHOLDING	
Choice Decisions 300 Proprietary Limited#^	100	100	-	-
Hendisa Investments Proprietary Limited#^	100	100	-	-
Atterbury Parkdev Consortium Proprietary Limited#^	100	100	-	-
Phamog Properties Proprietary Limited#^	100	100	-	-
Hestitrix Proprietary Limited^	100	100	-	-
K2014000273 Proprietary Limited^	100	100	-	-
277 Vermeulen Street Properties Proprietary Limited	100	100	62 273	62 273
Delta Property Asset Management Proprietary Limited (DPAM)^	100	100	1	1
			62 274	62 274

During 2015, these subsidiaries distributed their respective investment properties to Delta as in specie distributions in terms of section 23K of the Income Tax Act prior to their anticipated liquidation. Delta is in the process of deregistering these subsidiaries in terms of section 47 of the Income Tax Act and all four entities have been placed in voluntary liquidation.

^ The investments in these subsidiaries are held at a nominal value of R100 each, with the exception of DPAM which was acquired from DPAM Employee Trust ("Trust"). On 31 August 2023, Delta acquired all of the issued ordinary shares in DPAM from the Trust for a purchase consideration of R1 000 worth of Delta shares. DPAM is in the process of being liquidated.

Hestitrix owns Block G, while K2014000273 owns Capital Towers, and 277 Vermeulen Street owns Regents Place.

The carrying amount for 277 Vermeulen Street relates to the acquisition of the property known as Regents Place in the entity.

6.1 Interest in joint operation

The Company and Redefine Properties Limited entered into a co-ownership agreement (50:50) with joint control in respect of Building 3 located in Silver Stream Office Park in Bryanston. This co- ownership is classified as a joint operation in terms of IFRS 11 and the Group recognises its 50% proportionate share of the assets, liabilities, income and expenses of the entity.

The portion of the rental paid for the Silver Stream property to the joint operation is eliminated against the rental income received by the Company.

Below are the summarised financial results pertaining to Delta’s 50% interest in the property.

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
SILVER STREAM OFFICE PARK - 50% SHARE				
Rental income	4 757	8 156	4 757	8 156
Property expenses	(2 266)	(2 319)	(2 266)	(2 319)
Net property income	2 491	5 837	2 491	5 837
Investment property value*	41 550	40 900	41 550	40 900

* The investment property value is included in note 3.

7. Investment in Listed Security

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Grit Real Estate Income Group Limited		-	34 422	-	34 422
Reconciliation of investment in Grit					
Balance at the beginning of the year		34 422	80 636	34 422	80 636
Current year fair value adjustment	19	(15 351)	(43 582)	(15 351)	(43 582)
Unrealised foreign exchange (loss)/gain		(338)	(2 632)	(338)	(2 632)
Disposal of Investment		(18 733)	-	(18 733)	-
Balance at the end of the year		-	34 422	-	34 422
Share information					
GBP/ZAR		-	23.15	-	23.15
Share price		-	0.10	-	0.10
Dividends per share		-	-	-	-
Dividend income (R000's)		-	-	-	-
Percentage holding (%)		-	3.0	-	3.0
Number of shares held		-	14 869 210	-	14 869 210
Number of Grit shares in issue		-	495 092 339	-	495 092 339

Grit is an African-focused property income fund listed on the Stock Exchange of Mauritius (SEM) and London Stock Exchange (LSE). The Group’s shares were disposed of in November 2025 at the prevailing market value and the proceeds of the sale were applied on the Investec Facility.

The changes in fair value of this investment are recognised in profit and loss according to the requirements of IFRS 9. The shares were sold in the current year therefore the investment has been derecognised.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

8. Loan Due from/(to) Subsidiaries

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
277 Vermeulen Street Properties Proprietary Limited*	-	-	18 260	17 930
K2014000273 Proprietary Limited**	-	-	161 913	158 409
Hestitrix Proprietary Limited**	-	-	199 497	213 966
	-	-	379 670	390 305
Expected credit loss allowance	-	-	(241 374)	(273 425)
Balance at the end of the year			138 296	116 880
Choice Decisions 300 Proprietary Limited	-	-	(2 177)	(2 177)
Hendisa Investments Proprietary Limited	-	-	(15)	(15)
Atterbury Parkdev Consortium Proprietary Limited	-	-	(1 917)	(1 917)
Phamog Properties Proprietary Limited	-	-	(96)	(96)
Balance at the end of the year	-	-	(4 205)	(4 205)
Non-current assets	-	-	138 296	116 880
Current liabilities	-	-	(4 205)	(4 205)
	-	-	134 091	112 675

*Loans are secured by investment property.

The loan with K2014000273 and Hestitrix has been fully impaired to the extent of its total assets less external liabilities.

Loans to wholly owned subsidiaries bear interest at a fixed rate of 7.5% (2025: 7.5%) and are repayable within 30 years from November 2012. The subsidiaries continue to be in an adverse financial position, accordingly, interest income for the current period has been written off. The loans receivable have been subordinated in favour of other creditors of the respective subsidiaries.

Loans from subsidiaries bear no interest and have no repayment date. These loans are expected to be settled upon the liquidation of the dormant entities.

Embassy Building
Durban, KwaZulu-Natal

9. Trade and Other Receivables

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Trade receivables at amortised cost	111 750	94 213	104 782	86 801
Trade receivables	151 442	155 224	144 170	147 477
Expected credit loss allowance	(39 692)	(61 011)	(39 388)	(60 676)
Amounts due from vendors^	485	8 424	485	8 424
Other receivables at amortised cost**	1 241	87	1 130	(154)
Deposits paid	22 733	23 691	22 533	23 457
Accrued income*	24 331	28 981	23 600	28 327
	160 540	155 396	152 530	146 855

^ Includes receivables relating to adjustment accounts.

* Relates to utilities recoveries.

** Includes insurance claims receivable.

Categorisation of trade and other receivables

Trade and other receivables are categorised as follows in accordance with IFRS 9:

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
At amortised cost	160 055	146 972	152 045	138 431
Non-financial instruments	485	8 424	485	8 424
	160 540	155 396	152 530	146 855
Movement in expected credit loss allowance – trade receivables				
Balance at the beginning of year	(61 011)	(56 468)	(60 676)	(56 283)
Bad debts written off	48 673	19 960	48 167	18 909
Movement in allowance	(27 354)	(24 503)	(26 879)	(23 302)
Balance at the end of the year	(39 692)	(61 011)	(39 388)	(60 676)

Trade receivables have been assessed in terms of IFRS 9 simplified approach, which entailed formulating a matrix provision that applied historical performance (bad debt write-offs applied to appropriate Groupings of receivables based on shared credit risk characteristics) over a three-year period as well as forward looking economic and company-specific risk assessments such as: credit rating, public debt % of GDP, economic growth, political risk and property sector outlook. Risks were weighted against low/ medium/high assessment, resulting in a cumulative ECL risk percentage which has been applied to trade receivables net of VAT and any security held.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

10. Cash and Cash Equivalents

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Unrestricted cash balances	9 389	6 194	9 387	6 187
Bank overdraft utilised	(94 759)	(85 730)	(92 981)	(85 720)
	(85 370)	(79 536)	(83 594)	(79 533)
Current assets	9 389	6 194	9 387	6 187
Current liabilities	(94 759)	(85 730)	(92 981)	(85 720)
	(85 370)	(79 536)	(83 594)	(79 533)

Cash and cash equivalents comprise cash on hand and balances held with financial institutions, net of bank overdrafts where applicable. These are available for use by the Group in the ordinary course of business.

There were no amounts of cash and cash equivalents that were restricted in use at year-end. No tenant receipts held at year-end were ringfenced or contractually restricted for specific purposes. The Group has available working capital facilities with Standard Bank of South Africa Limited of R45m and Nedbank Limited of R50m totalling R95m (2025: R95m), bearing interest at prime less 1% and prime respectively. In addition, there are revolving credit facilities with Nedbank and Standard bank of R72m and R10m respectively. As at year-end, R56.5m of the revolving credit facilities had been utilised. The Group had unutilised facilities at year-end of R35.1m.

The Group holds its cash balances with reputable financial institutions that have strong credit ratings, and the associated credit risk is considered to be low. As a result, no ECL allowance is raised on the cash.

Moody's bank rating
Nedbank Baa3
Standard Bank Baa3

11. Non-current Assets Held-for-sale

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Carrying Amount				
Cost	1 426 737	2 374 675	1 426 722	2 302 398
Fair value adjustments	(818 492)	(1 368 861)	(818 492)	(1 367 129)
Balance at the end of the year	608 245	1 005 814	608 230	935 269
Movement for the year				
Balance at the beginning of the year	1 005 814	1 307 045	935 269	1 234 632
Capital expenditure	6 757	4 609	6 656	4 609
Fair value adjustments	(71 070)	(246 649)	(71 070)	(244 781)
Transfer (to)/from investment property	(123 091)	94 839	(52 563)	94 839
Disposals	(210 165)	(154 030)	(210 062)	(154 030)
Balance at the end of the year	608 245	1 005 814	608 230	935 269
Reconciliation to valuations				
Fair value of non-current assets held-for-sale	608 245	1 005 814	608 230	935 269
Straight-line rental income accrual	2 793	3 676	2 808	3 621
Valuation at the end of the year	611 038	1 009 490	611 038	938 890

Valuation assumptions and unobservable inputs for Non-current assets held-for-sale are the same as disclosed in note 3, with the exception of properties where sale agreements have been signed and agreed sales price used as fair value.

The following properties have been classified as non-current assets held-for-sale:

PROPERTY	LOCATION	GLA
13 Elliot	Northern Cape	4 400
22 & 24 George Lubbe - SAPS Vehicle Recovery	Free State	6 200
88 Field Street*	KwaZulu Natal	21 793
ABSA United	Free State	6 129
African Life Building*	Free State	8 567
Beaconsfield Building	Northern Cape	5 801
Bestmed Building (36 Hamilton Road)*	Gauteng	3 684
Campus Building*	Free State	4 700
Commissioner House	Western Cape	4 019
Domitek	Free State	1 729
Fairweather Corner	Free State	5 968
Hatfield Forum East*	Free State	6 390
In 2 Fruit*	Gauteng	11 177
Laboria	Free State	3 995
Old Mutual Building*	Gauteng	3 055
Parkmore*	Gauteng	2 812
SA Eagle	Free State	3 689
SARS Belville (Sable Centre)*	Western Cape	17 309
SARS Kimberley*	Northern Cape	2 950
Tivoli	North-West	2 075

* These properties were held-for-sale the prior year, however, they remain as held-for-sale in the current year as they meet the IFRS 5 criteria based on the reassessment performed at year-end which indicate that these will be disposed within 12 months as they have acceptable offers. Some of the properties have a signed sales agreement and are in the process of being transferred.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

12. Share Capital

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Authorised				
3 000 000 000 ordinary shares of no-par value				
Issued	4 868 462	4 868 462	4 868 462	4 868 462
Ordinary shares of no-par value	4 868 462	4 868 462	4 868 462	4 868 462
Share reconciliation				
Shares outstanding - beginning of the period	714 237 410	714 237 410	714 237 410	714 237 410
Issued during the year	-	-	-	-

There were no new shares issued in the current reporting period. The unissued shares are under the control of the directors. This authority remains in force until the next AGM of the Company.

13. Interest-bearing Borrowings

			GROUP		COMPANY	
			2026	2025	2026	2025
Figures in R'000						
Facilities	Interest rate %	Maturity				
Nedbank Facilities			2 500 394	2 629 605	2 500 394	2 629 605
Nedbank	3m JIBAR + 3.0%	07-Apr-26	2 332 735	2 423 382	2 332 735	2 423 382
Nedbank ^s	3m JIBAR + 3.75%	07-Jun-27	96 123	122 707	96 123	122 707
Nedbank [^]	3m JIBAR + 1.97%	31-Dec-26	19 765	41 735	19 765	41 735
Nedbank [#]	3m JIBAR + 3.5%	07-Apr-26	51 771	41 781	51 771	41 781
Standard bank Facilities			565 722	630 923	565 722	630 923
Standard bank	3m JIBAR + 2.5%	31-May-26	531 661	532 381	531 661	532 381
Standard bank	Prime - 0.5%	31-May-26	28 958	98 542	28 958	98 542
Standard bank [#]	Prime - 0.5%	31-May-26	5 103	-	5 103	-
Investec Facilities			501 836	532 267	501 836	532 267
Investec	Prime	07-Mar-27	501 836	532 267	501 836	532 267
Bank of China Facilities			31 359	66 235	31 359	66 235
Bank of China	3m JIBAR + 2.5%	03-Dec-26	31 359	66 235	31 359	66 235
			3 599 311	3 859 030	3 599 311	3 859 030
Fees			(3 535)	(1 319)	(3 535)	(1 319)
			3 595 776	3 857 711	3 595 776	3 857 711

[^] The facility is a syndicated loan shared with Bank of China.

^{\$} The facility is a syndicated loan shared with State Bank of India.

[#] Revolving credit facility.

For all financial instruments carried at amortised cost the applicable interest rates are market related, therefore the amortised cost approximates the fair value.

At the reporting date, the Group did not meet its debt financial covenants, with the Loan-to-Value (LTV) ratio exceeding 50% and the Interest Coverage Ratio (ICR) falling below 2.0 times.

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Non-current liabilities	588 246	1 372 062	588 246	1 372 062
Non-current portion of interest-bearing borrowings	588 246	1 372 062	588 246	1 372 062
Current liabilities	3 007 530	2 485 649	3 007 530	2 485 649
Current portion of interest-bearing borrowings	2 978 098	2 449 290	2 978 098	2 449 290
Interest accrual on interest-bearing borrowings	29 432	36 359	29 432	36 359
	3 595 776	3 857 711	3 595 776	3 857 711

Interest-bearing borrowings are secured over investment properties (refer to note 3) and non-current assets held-for-sale (refer to note 11).

The Group has made significant progress in respect of extending and refinancing its expiring debt facilities, these extensions were finalised post year-end as follows:

- Nedbank extended its facilities when they became due on 7 April 2026 to 10 April 2027.
- Standard Bank extended its facilities that will fall due on 31 May 2026 namely tranche 1 to 31 May 2028 and tranche 2 to 30 November 2028.

The strategy is to reduce debt further by utilising proceeds from disposal of non-core properties and amortisation to repay debt in order to cure the LTV and ICR covenants to acceptable levels. The Group's funders continue to be supportive and negotiations that take place from time to time continue to yield positive results.

Due to JIBAR's shortcoming in not reflecting the cost at which banks fund themselves in the market, contracts linked to JIBAR or Prime will be switched to compounded-in-arrears South African Rand Overnight Index Average (ZARONIA) rates. The Reserve Bank's reference interest rate reform transition to ZARONIA has a target date of 31 December 2026 for moving to a "no new JIBAR" contracts norm in the SA market. The impact of the change of Delta's borrowing rate from JIBAR to ZARONIA will be insignificant.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

14. Lease Liabilities

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Investment property	16 230	21 431	10 651	9 401
Property, plant and equipment	448	959	448	959
Balance at the end of the year	16 678	22 390	11 099	10 360
Non-current liabilities	11 516	16 628	11 037	7 974
Current liabilities	5 162	5 762	62	2 386
	16 678	22 390	11 099	10 360
Reconciliation of lease liability				
Balance at the beginning of the year	22 390	26 300	10 360	18 464
Addition to lease liability	6 050	58	12 100	-
Repayment of lease liability incl interest	(5 845)	(6 453)	(4 960)	(9 746)
Derecognition of Lease liability ^a	(8 298)	-	(8 298)	-
Accrued interest	2 381	2 485	1 897	1 642
Balance at the end of the year	16 678	22 390	11 099	10 360

The Group has leasehold land as investment property at Capital Towers, Block G and Treasury House. The lease liabilities on leasehold land have been disclosed separately from investment properties.

Lease liabilities have been measured at the present value of the lease payments discounted using the Group's incremental borrowing rate. The Group amortises lease liabilities over the remaining lease term by recognising an interest expense in the statement of profit or loss and repayment of capital in the statement of cash flows.

The lease expiry dates are as follows:

- Block G – 1 November 2030
- Capital Towers – 1 March 2028[^]
- Treasury House – 31 July 2025*
- Silver Stream Office - Building 3 – 28 February 2030

[^] The provisions of the lease has an option for renewal for a further 25 years over 5 renewals periods. Capital Towers is a property earmarked for sale hence management's intention is to extend the lease for only one renewal period. The right of use asset is only for a period of 5 years. The future cash flows to which Delta is potentially exposed to from the extension options for Capital Towers is R69.4m

* The lease expired in the current year and is in the process of being renewed.

^a Pine Parkade was sold in August 2025 therefore the lease liability related to the right-of-use asset was derecognised.

Figures in R'000

	GROUP		COMPANY	
	2026	2025	2026	2025
Lease Maturity Analysis				
Lease payments payable as lessee				
- Year one	4 201	6 363	3 510	2 988
- Year two	4 026	3 881	3 220	1 684
- Year three	3 270	3 683	3 446	1 267
- Year four	3 444	2 903	3 687	1 356
- Year five	1 443	3 052	-	1 451
- Later than five years	-	4 658	-	3 214
Total undiscounted cash flows	16 384	24 540	13 863	11 960

15. Deferred Taxation

	GROUP		COMPANY	
	2026	2025	2026	2025
Figures in R'000				
Deferred tax liability	7 522	2 597	7 522	2 597
Reconciliation of deferred taxation				
Leased assets	2 683	2 958	2 683	2 958
Leased liabilities	(2 773)	(3 118)	(2 773)	(3 118)
Operating Lease	17 944	18 733	17 944	18 733
Provisions	(6 625)	(11 103)	(6 625)	(11 103)
Income received in advance	(6 956)	(9 143)	(6 956)	(9 143)
Future expenditure	3 249	4 270	3 249	4 270
Deferred tax liability	7 522	2 597	7 522	2 597
Profit/loss reconciliation of deferred taxation				
Opening balance	2 597	2 805	2 597	2 805
Leased assets	1 521	(1 952)	1 521	(1 952)
Leased liabilities	(1 452)	2 013	(1 452)	2 013
Operating Lease	(789)	677	(789)	677
Provisions	4 479	(993)	4 479	(993)
Income received in advance	2 187	88	2 187	88
Future expenditure allowance	(1 021)	(41)	(1 021)	(41)
Deferred tax liability	7 522	2 597	7 522	2 597

The Company has no assessed loss and therefore no deferred taxation asset is recognised on any tax losses. A deferred tax asset due to assessed losses is not recognised in the subsidiary companies as there is no future taxable income against which they will be utilised. The Group has R83.5m (FY25:R48.9m) in assessed losses.

Notes to the
Financial Statements *cont.*
For the year ended 28 February 2026

In South Africa, capital gains taxation is not applicable on the sale of investment property and shares in a REIT or property company, in terms of Section 25BB of the Income Tax Act applicable to REITs. Consequently, no deferred tax was raised on the fair value adjustments recognised in respect of investment property.

Allowances relating to immovable property can no longer be claimed by a REIT and if a REIT sells immovable property, any allowances claimed on properties prior to becoming a REIT will be recouped. To the extent that taxation is payable in future as a result of no qualifying distribution being paid, a deferred taxation was raised on temporary differences calculated on items such as the straight-line rental income accrual.

16. Trade and Other Payables

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
	131 902	105 001	124 894	100 730
Trade payables	79 256	43 923	74 392	40 566
Accrued expenses	52 646	61 078	50 502	60 164
Income received in advance	25 917	33 928	25 764	33 863
Provision for audit fees	4 792	5 125	2 828	4 375
Tenant deposits	15 849	18 923	15 685	18 774
Value added tax	12 488	17 755	14 191	19 915
	190 948	180 732	183 362	177 657

17. Taxation Paid

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Taxation payable at the beginning of the year	21 219	13 942	21 735	17 122
Current tax for the year recognised in profit or loss	36 497	32 225	36 016	32 319
Net SARS interest and penalties	2 951	1 248	2 782	952
Tax paid including SARS penalties and interest*	(33 760)	(26 196)	(34 560)	(28 658)
Tax paid	(31 778)	(27 763)	(31 778)	(27 706)
SARS refund	800	2 513	-	-
SARS penalties and interest	(2 782)	(946)	(2 782)	(952)
Taxation payable at the end of the year	26 907	21 219	25 973	21 735

Section 25BB of the Income Tax Act provides for the flow-through principle whereby investors are subject to tax on income received from the REIT and the REIT is taxed on the taxable income retained at the standard corporate rate. Due to the retention of distributable earnings, the Group has paid provisional tax and provided for the necessary tax obligation at the standard corporate tax rate of 27%. Refer to note 23.

* Tax paid includes R2.8m (FY25: R0.9m) interest paid on the arrear tax arrangement which is included in finance cost paid in the statements of cash flows.

18. Rental Income

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Revenue from contracts with tenants	1 145 903	1 140 180	1 126 861	1 125 486
Contractual rental income	819 649	828 345	805 175	817 855
Recoveries	226 209	216 713	223 169	213 852
Storage	19 151	18 094	19 017	17 909
Parking	77 817	74 139	76 553	73 040
Antennae	3 077	2 889	2 947	2 830
Other revenue	4 897	239	4 895	234
Turnover rental	-	45	-	45
Signage	-	3	-	2
Casual parking	4 897	191	4 895	187
	1 150 800	1 140 419	1 131 756	1 125 720

Rental income comprises gross rental income and recoveries from tenants net of value added tax. Recoveries includes recoveries for utility charges, marketing expenses, insurance expenses and operating cost expenses.

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Lease Maturity Analysis				
Operating Lease payments receivable as lessor				
- Year one	362 211	420 035	348 771	409 727
- Year two	170 055	190 994	169 061	182 066
- Year three	99 617	139 983	99 617	139 054
- Year four	52 028	79 417	52 028	79 417
- Year five	38 456	44 453	38 456	44 453
- Later than five years	6 406	43 920	6 406	43 920
	728 773	918 802	714 339	898 637

Minimum lease payments receivable comprises contractual rental income due in terms of signed lease agreements on investment property. This excludes the straight-line rental income accrual adjustments.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

19. Fair Value Adjustments

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
		20 405	(178 286)	14 968	(165 778)
Investment property	3	114 659	71 922	109 222	82 562
Non-current assets held-for-sale	11	(71 070)	(246 649)	(71 070)	(244 781)
Fair value adjustment on property disposals		(21 221)	(3 559)	(21 221)	(3 559)
Loss on derecognition of ROU		(1 963)	-	(1 963)	-
Investment in listed security	7	(15 351)	(43 582)	(15 351)	(43 582)
Derivative financial instruments		-	(636)	-	(634)
		5 054	(222 504)	(383)	(209 994)

20. Administration expenses

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Depreciation of property, plant and equipment	5	1 852	2 695	3 063	7 756
Directors' emoluments	30	14 436	13 257	14 436	13 257
Employee benefit expenses		48 877	49 267	48 877	49 267
External audit fees		4 888	4 198	3 673	3 488
Internal audit fees		1 119	1 555	1 119	1 555
Professional fees		5 452	4 173	5 450	4 146
Legal costs		5 270	11 305	5 270	11 305
Marketing		3 098	2 787	3 098	2 787
Subscriptions		1 890	1 602	1 890	1 602
Computer and software expenses		4 077	4 365	4 077	4 365
Other		2 946	6 529	3 486	6 511
		93 905	101 732	94 439	106 039

To comply with IAS 1.99, administration expenses have been disaggregated by nature. Prior year comparative figures have been reclassified on the same basis to ensure consistency. This change affects note presentation only; there is no impact on the total administration expenses, net profit, or financial position previously reported.

21. Investment Income

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Bank and cash	210	139	210	139
Trade receivables (tenants)	4 353	1 855	4 351	1 845
Interest rate swaps	-	636	-	634
	4 563	2 630	4 561	2 618

22. Finance Costs

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Interest-bearing borrowings	378 425	435 425	378 425	435 425
Debt structuring fees amortised	14 094	12 922	14 094	12 922
Interest on lease liabilities	2 381	2 485	1 897	1 642
Bank interest	8 375	9 176	8 375	9 176
SARS interest	5 764	1 177	5 680	1 177
Other	3 358	1 820	3 357	1 646
	412 397	463 005	411 828	461 988

23. Taxation

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Major components of the tax expense				
Current tax expense	36 669	32 225	36 016	32 319
Deferred tax	4 925	(208)	4 925	(208)
	41 594	32 017	40 941	32 111

Reconciliation of the current tax expense				
Reconciliation between accounting loss and tax expense:				
Accounting profit/(loss) before tax	168 601	(72 194)	186 576	(91 719)
Tax at the application tax rate of 27%	45 522	(19 492)	50 376	(24 764)
Tax effect of adjustments on taxable income:				
Fair Value Movement	(1 804)	60 706	195	57 410
ECL Provision movement	2 302	1 506	2 299	(915)
Non-taxable income - other	(3 177)	(3 423)	(11 826)	(2 061)
Non-deductible expenditure - legal, structuring fees and interest	1 828	3 846	1 802	3 798
Other provisions	165	1 099	(613)	897
Doubtful debt allowance	(5 756)	(491)	(5 748)	(474)
Income received in advance	(2 163)	(71)	(2 187)	(88)
Future expenditure	1 010	33	1 021	41
Straight-line lease adjustments	779	(825)	789	(677)
Pre-paid expenses	(21)	(785)	(21)	(785)
Net lease liabilities	(339)	(542)	(71)	(63)
Assessed loss utilized	(1 849)	(9 336)	-	-
Tax expense	36 669	32 225	36 016	32 319

The Company did not distribute dividends for the year ending February 2026 and 2025.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

24. Earnings and Headline Earnings

Figures in R'000	GROUP	
	2026	2025
Profit/(loss) attributable to owners of the parent	127 007	(104 211)
Change in fair values of investment property and non-current assets held-for-sale	(22 369)	178 286
Loss on derecognition of ROU	1 963	-
Headline earnings attributable to owners of the parent	106 601	74 075
Shares in issue at the beginning of the year	714 237 410	714 237 410
Number of shares in issue at end of the year	714 237 410	714 237 410
Weighted average number of shares in issue	714 237 410	714 237 410
Basic and diluted earnings/(loss) and headline earnings per share (cents)		
Basic and diluted earnings/(loss) per share	17.8	(14.6)
Headline and diluted headline earnings per share	14.9	10.4

25. Cash Generated from Operations

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Profit/(loss) before taxation		168 601	(72 194)	186 576	(91 719)
Adjustments - non-cash flow items and other reconciling items:					
Depreciation of property, plant and equipment	5	1 852	2 695	3 063	7 756
Unrealised foreign exchange gains and losses		338	2 632	338	2 632
Finance income	21	(4 563)	(2 630)	(4 561)	(2 618)
Finance costs	22	412 397	463 005	411 828	461 988
Fair value adjustments	19	(5 054)	222 504	383	209 994
ECL allowances		27 368	25 535	(5 156)	43 198
Straight-line rental income accrual	4	2 887	(3 002)	2 923	(2 470)
Tenant installation and letting commission amortisation		3 568	2 446	3 568	2 440
Operating profit before working capital changes		607 394	640 991	598 962	631 201
Changes in working capital:		(15 746)	(75 625)	(20 884)	(70 970)
Increase in trade and other receivables		(28 001)	(80 933)	(28 628)	(70 706)
Increase/(decrease) in trade and other payables		12 255	5 308	7 744	(264)
Cash generated from operations		591 648	565 366	578 078	560 231

26. Reconciliation of Liabilities Arising from Financing Activities

GROUP (R'000) 2026	INTEREST BEARING BORROWINGS	BANK OVERDRAFT	LEASE LIABILITIES	TOTAL
Balance at the beginning of the year	3 857 711	85 730	22 390	3 965 831
Cash flows:				
- Repayment (capital)	(103 082)	-	(3 143)	(106 225)
- Repayment (interest)	-	(8 375)	(2 381)	(10 756)
- Proceeds	15 000	9 029	-	24 029
Non-cash:				
- ROU adjustment	-	-	(2 569)	(2 569)
- Additions	5 473	-	-	5 473
- Interest charges	(6 927)	8 375	2 381	3 829
- Net fee capitalised	15 822	-	-	15 822
- Reduction of facilities*	(188 221)	-	-	(188 221)
Balance at the end of the year	3 595 776	94 759	16 678	3 707 213

GROUP (R'000) 2025	INTEREST BEARING BORROWINGS	BANK OVERDRAFT	LEASE LIABILITIES	TOTAL
Balance at the beginning of the year	4 042 660	94 616	26 300	4 163 576
Cash flows:				
- Repayment	(92 920)	(8 886)	(3 910)	(105 716)
- Proceeds	35 000	-	-	35 000
Non-cash:				
- Additions	2 164	-	-	2 164
- Interest charges	2 695	-	-	2 695
- Fees capitalised	12 645	-	-	12 645
- Reduction of facilities*	(144 533)	-	-	(144 533)
Balance at the end of the year	3 857 711	85 730	22 390	3 965 831



Phamoko Towers
Polokwane, Limpopo

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

COMPANY (R'000) 2026	INTEREST BEARING BORROWINGS	BANK OVERDRAFT	LEASE LIABILITIES	TOTAL
Balance at the beginning of the year	3 857 711	85 720	10 360	3 953 791
Cash flows:				
– Repayment (capital)	(103 082)	–	(3 068)	(106 150)
– Repayment (interest)	–	(8 375)	(1 897)	(10 272)
– Proceeds	15 000	7 261	–	22 261
Non-cash:				
– ROU adjustment	–	–	3 807	3 807
– Additions	5 473	–	–	5 473
– Interest charges	(6 927)	8 375	1 897	3 345
– Fees capitalised	15 822	–	–	15 822
– Reduction of facilities*	(188 221)	–	–	(188 221)
Balance at the end of the year	3 595 776	92 981	11 099	3 699 856

COMPANY (R'000) 2025	INTEREST BEARING BORROWINGS	BANK OVERDRAFT	LEASE LIABILITIES	TOTAL
Balance at the beginning of the year	4 042 660	94 596	18 464	4 155 720
Cash flows:				
– Repayment	(92 920)	(8 876)	(8 104)	(109 900)
– Proceeds	35 000	–	–	35 000
Non-cash:				
– Additions	2 164	–	–	2 164
– Interest charges	2 695	–	–	2 695
– Fees capitalised	12 645	–	–	12 645
– Reduction of facilities*	(144 533)	–	–	(144 533)
Balance at the end of the year	3 857 711	85 720	10 360	3 953 791

* Grit share disposal proceeds and proceeds from the sale of properties were paid directly to the bank.

27. Financial Instruments Categories

FINANCIAL ASSETS (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2026 – Group			
Investment in listed security	–	–	–
Trade and other receivables (excluding non-financial instruments)	160 055	–	160 055
Cash and cash equivalents	9 389	–	9 389
	169 444	–	169 444

FINANCIAL ASSETS (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2025 – Group			
Investment in listed security	–	34 422	34 422
Trade and other receivables (excluding non-financial instruments)	146 972	–	146 972
Cash and cash equivalents	6 194	–	6 194
	153 166	34 422	187 588

FINANCIAL ASSETS (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2026 – Company			
Investment in listed security	–	–	–
Loan due from subsidiaries	138 296	–	138 296
Trade and other receivables (excluding non-financial instruments)	152 044	–	152 044
Cash and cash equivalents	9 387	–	9 387
	299 727	–	299 727

FINANCIAL ASSETS (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2025 – Company			
Investment in listed security	–	34 422	34 422
Loan due from subsidiaries	116 880	–	116 880
Trade and other receivables (excluding non-financial instruments)	138 431	–	138 431
Cash and cash equivalents	6 187	–	6 187
	261 498	34 422	295 920

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

FINANCIAL LIABILITIES (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2026 - Group			
Interest-bearing borrowings (including interest accrual)	3 595 776	-	3 595 776
Trade and other payables (excluding non-financial instruments)	179 206	-	179 206
Lease liability	16 678	-	16 678
Bank overdraft	94 759	-	94 759
	3 886 419	-	3 886 419

FINANCIAL LIABILITIES (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2025 - Group			
Interest-bearing borrowings (including interest accrual)	3 857 711	-	3 857 711
Trade and other payables (excluding non-financial instruments)	129 049	-	129 049
Lease liability	22 390	-	22 390
Bank overdraft	85 730	-	85 730
	4 094 880	-	4 094 880

FINANCIAL LIABILITIES (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2026 - Company			
Interest-bearing borrowings (including interest accrual)	3 595 776	-	3 595 776
Trade and other payables (excluding non-financial instruments)	169 916	-	169 916
Loans from subsidiaries	4 205	-	4 205
Lease liability	11 098	-	11 098
Bank overdraft	92 979	-	92 979
	3 873 974	-	3 873 974

FINANCIAL LIABILITIES (FIGURES R'000)	AT AMORTISED COST	AT FAIR VALUE THROUGH PROFIT OR LOSS	TOTAL
Year ended 28 February 2025 - Company			
Interest-bearing borrowings (including interest accrual)	3 857 711	-	3 857 711
Trade and other payables (excluding non-financial instruments)	123 880	-	123 880
Loan from subsidiaries	4 205	-	4 205
Lease liability	10 360	-	10 360
Bank overdraft	85 720	-	85 720
	4 081 876	-	4 081 876

28. Fair Value Hierarchy

IFRS 13 requires that an entity disclose, for each class of financial instrument and investment property measured at fair value, the level in the fair value hierarchy into which the fair value measurements are categorised in their entirety.

The fair value hierarchy reflects the significance of the inputs used in making fair value measurements.

The level in the fair value hierarchy within which the fair value measurement is categorised in its entirety shall be determined on the basis of the lowest level input that is significant to the fair value measurement in its entirety.

The fair value hierarchy has the following levels:

- Level 1 – quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 – inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 – inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Figures in R'000	Notes	LEVEL 1	LEVEL 2	LEVEL 3	FAIR VALUE
Year ended 28 February 2026 - Group					
Investment property	3	-	-	5 689 578	5 689 578
Non-current assets held-for-sale*	11	-	-	611 038	611 038
		-	-	6 300 616	6 300 616

LEVEL 3 RECONCILIATION (Figures in R'000)	Notes	BALANCE AT THE BEGINNING OF THE YEAR	ADDITIONS/ (DISPOSALS)	PROFIT/LOSS IN LOSS FOR THE YEAR	BALANCE AT THE END OF THE YEAR
Assets					
Investment properties	3	5 380 209	196 714	112 655	5 689 578
Non-current assets held-for-sale	11	1 009 490	(305 278)	(93 174)	611 038
		6 389 699	(108 564)	19 481	6 300 616

Figures in R'000	Notes	LEVEL 1	LEVEL 2	LEVEL 3	FAIR VALUE
Year ended 28 February 2025 - Group					
Investment property	3	-	-	5 380 209	5 380 209
Investment in listed security	7	34 422	-	-	34 422
Non-current assets held-for-sale	11	-	-	1 009 490	1 009 490
		34 422	-	6 389 699	6 424 121

LEVEL 3 RECONCILIATION (Figures in R'000)	Notes	BALANCE AT THE BEGINNING OF THE YEAR	ADDITIONS/ (DISPOSALS)	PROFIT/LOSS IN LOSS FOR THE YEAR	BALANCE AT THE END OF THE YEAR
Assets					
Investment properties	3	5 357 988	(52 627)	74 848	5 380 209
Non-current assets held-for-sale	11	1 310 645	(51 023)	(250 132)	1 009 490
		6 668 633	(103 650)	(175 284)	6 389 699

Notes to the
Financial Statements *cont.*
For the year ended 28 February 2026

29. Commitments

Figures in R'000	GROUP		COMPANY	
	2026	2025	2026	2025
Capital Commitments				
Approved and not yet committed	45 532	59 710	45 532	59 710
	45 532	59 710	45 532	59 710

30. Related Parties

Parties are considered related if one party has the ability to exercise control or significant influence over the other party in making financial or operational decisions. All transactions with related parties are at arm’s length.

NATURE OF RELATIONSHIP	RELATED PARTY
Subsidiaries	277 Vermeulen Street Properties Proprietary Limited
	Atterbury Parkdev Consortium Proprietary Limited
	Choice Decisions 300 Proprietary Limited
	Delta Property Asset Management
	Hendisa Investments Proprietary Limited
	Hestitrix Proprietary Limited
	K2014000273 Proprietary Limited
	Phamog Properties Proprietary Limited
Board of Directors	S Masinga – Chief Executive Officer
	Z Mhlontlo – Chief Financial Officer
	P Langeni - Resigned Chairman*
	M Makwana - Upcoming Chairman*
	T Matlala*
	S Mboweni*
	SV Zilwa*
	L van Niekerk*
	E Zungu*
Common directors	Afropulse Group Proprietary Limited Cornwall Crescent Proprietary Limited
Parent	Cornwall Crescent Proprietary Limited
Ultimate Holder	Afropulse Group Proprietary Limited

* Non-executives.

30.1 Compensation paid to directors

2026					
NAME	FEES PAID	SALARY	RETIREMENT BENEFITS	OTHER BENEFITS [^]	TOTAL REMUNERATION
S Masinga	-	4 838	-	875	5 713
Z Mhlontlo	-	3 716	195	573	4 484
P Langeni	1 042	-	-	-	1 042
M Makwana	119	-	-	-	119
BD Copans	159	-	-	-	159
T Matlala	656	-	-	-	656
S Mboweni	693	-	-	-	693
S Zilwa	998	-	-	-	998
L van Niekerk	203	-	-	-	203
E Zungu	369	-	-	-	369
Total compensation paid to directors	4 239	8 554	195	1 448	14 436

Ms S Masinga and Mr Z Mhlontlo are directors of the subsidiaries of Delta and no further remuneration is paid for services rendered as directors of those entities.

[^] R1.4m was awarded as short-term incentive (STI) in 2025 and paid in 2026, while no long-term incentives (LTI) award was made for year ended 28 February 2026.

During December 2025, the Group finalised and issued LTI awards to executive directors (Ms S Masinga and Mr Z Mhlontlo) under the Delta Property Fund LTIP, with an effective allocation date of 31 May 2024 and a vesting date of 1 June 2027. The awards are subject to a three-year performance period (1 March 2024 to 28 February 2027) evaluated against specific targets, including Distributable Income Per Share (DIPS), Net Asset Value (NAV) growth, Non-core Property Disposals, LTV ratio and ICR.

At the reporting date, all metrics are tracking below the minimum thresholds required for vesting. As a result, no employee benefit expense or equity reserve has been recognised in accordance with IFRS 2.

The maximum number of units originally subject to these performance hurdles for executive directors totals 9 915 612 units (CEO: 5 330 974 units; CFO: 4 584 638 units).

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

2025					
NAME	FEES PAID	SALARY	RETIREMENT BENEFITS	OTHER BENEFITS	TOTAL REMUNERATION
S Masinga	-	4 513	-	898	5 411
Z Mhlontlo	-	3 562	186	365	4 113
P Langeni	1 043	-	-	-	1 043
BD Copans (Appointed 10 April 2024)	541	-	-	-	541
T Matlala (Appointed 26 June 2024)	383	-	-	-	383
S Mboweni (Appointed 26 June 2024)	451	-	-	-	451
DN Motau (Retired 01 June 2024)	162	-	-	-	162
MJN Njeke (Retired 29 August 2024)	343	-	-	-	343
S Zilwa	810	-	-	-	810
	3 733	8 075	186	1 263	13 257

NAME	DIRECT BENEFICIAL HOLDINGS	INDIRECT BENEFICIAL HOLDINGS	TOTAL 2026	DIRECT BENEFICIAL HOLDINGS	INDIRECT BENEFICIAL HOLDINGS	TOTAL 2025
Executive directors						
S Masinga ¹	-	11 452 193	11 452 193	-	11 452 193	11 452 193
Non-executive directors						
Ms P Langeni retired from the Board with effect from 28 February 2026.	500 000	11 453 090	11 953 090	500 000	11 453 090	11 953 090
DN Motau	-	-	-	1 860	-	1 860
	500 000	22 905 283	23 405 283	501 860	22 905 283	23 407 143

1 As part of a B-BBEE transaction Cornwall Crescent Proprietary Limited (“Cornwall”), purchased Delta shares from Redefine Properties Limited (off market) utilising a vendor loan. All of the shares held by Cornwall are held under guarantee for the facility. The number of shares held by Cornwall per the share register is 162 043 079. Afropulse Group Proprietary Limited is a shareholder of Cornwall with Ms S Masinga and Ms P Langeni being shareholders of Afropulse Group.

There have been no changes to the holdings disclosed above from year-end to the date of approval of these annual financial statements.

RELATED PARTY	TRANSACTION/BALANCE	GROUP		COMPANY	
Figures in R'000		2026	2025	2026	2025
Transactions eliminated at Group					
Atterbury Parkdev Consortium	Loans payable	-	-	(1 917)	(1 917)
Choice Decisions 300	Loans payable	-	-	(2 177)	(2 177)
Hendisa Investments	Loans payable	-	-	(15)	(15)
Phamog Properties	Loans payable	-	-	(96)	(96)
K2014000273	Loans receivable [^]	-	-	161 913	158 409
277 Vermeulen Street Properties	Loans receivable [^]	-	-	18 259	17 930
Hestitrix	Loans receivable [^]	-	-	199 497	213 966
K2014000273	Interest income [#]	-	-	-	-
	Trade and other payables	-	-	-	-
	Asset management fees paid		-	-	654
	Property management fees paid		-	-	(91)
	Recoveries and letting commission		-	-	-
Transactions not eliminated at Group					
Afropulse	Secondment Fee – Executive	(5 714)	(5 411)	(5 714)	(5 411)

[^] Expected credit losses of R241.4m has been recognised, see note 8.
[#] Interest on subsidiary loans has been curtailed due to the negative financial position of the subsidiaries.

31. Financial Risk Management

The Board of directors has overall responsibility for the establishment and oversight of the Group’s risk management framework. The Risk and Compliance Committee reviews management’s compliance with the Group’s risk policies and procedures and assesses the adequacy of the risk management framework. The committee reports regularly to the Board of directors.

The Group’s risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group’s activities. The Committee is assisted in its oversight role by internal audit. Internal audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Committee.

The Group has exposure to liquidity, market and credit risk from its use of financial instruments, which consist primarily of deposits with banks, interest-bearing liabilities, trade and other receivables and trade and other payables.

Embassy Building
Durban, KwaZulu-Natal

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

31.1 Market risk

31.1.1 Interest rate risk

The Group and Company are exposed to interest rate risk arising from variable rate cash balances, receivables, and interest-bearing borrowings. To manage this risk, the Group historically utilised interest rate swaps to fix the interest rates on a portion of its borrowings. However, these expired in the prior year and due to the prevailing fixed rates being considered unreasonably high, management has deferred entering into new hedging arrangements until such time as hedging costs are more favourable and the economic benefit to the Group is clear. The Group continues to actively monitor its exposure to interest rate fluctuations. In the current declining interest rate environment, the short-term exposure is considered minimal.

The all-in weighted average cost of interest-bearing borrowings is 10.3% (FY25: 11.2%). This has reduced from prior due to lower interest rates in the current financial year.

A reasonably possible change of 1% in the interest rates would have increased /(decreased) equity and profit and loss by the amounts shown below:

		GROUP		COMPANY	
Figures in R'000	Change	2026	2025	2026	2025
Interest rate sensitivity analysis					
Increase in interest rate	1.00%	(46 657)	(58 197)	(46 657)	(58 197)
Decrease in interest rate	1.00%	29 797	22 725	29 797	22 725

31.2 Credit risk

Credit risk is the risk of financial loss to the Group or Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from loans to related parties, loan receivable, trade receivables, cash and cash equivalents and other financial assets.

The Group and Company are exposed to credit risk arising primarily from rental income, with a significant concentration of revenue derived from a single tenant, namely DPWI. This concentration presents a heightened credit risk, which is managed through ongoing engagement to ensure lease compliance and timeous collection. The Group is focused on reducing this concentration over time through tenant diversification.

		GROUP		COMPANY	
Figures in R'000	Notes	2026	2025	2026	2025
Financial instruments	8	-	-	138 294	116 880
Loans due from subsidiaries		-	-	379 670	390 305
ECL allowance		-	-	(241 376)	(273 425)
	9	160 054	146 972	152 044	138 430
Trade and other receivables		199 746	207 983	191 432	199 106
ECL allowance		(39 692)	(61 011)	(39 388)	(60 676)
Cash and cash equivalents	10	9 389	6 194	9 387	6 187

31.2.1 Credit risk management

Loans and other receivables

The credit risk attached to loans due from subsidiaries, loans due from related parties, loan receivable and other receivables were assessed in terms of the general approach per IFRS 9.

The Group assesses on a forward-looking basis the expected credit losses associated with loans and other receivable carried at amortised cost. This entails the assessment of credit risk since initial recognition, probability of default (PD), loss given default (LGD) and exposure at default (EAD) [i.e. PD x LGD x EAD = ECL].

The credit risk is measured by assessing the status of performance during the financial year i.e. performing (stage 1) – loans whose credit risk is in line with original expectations; underperforming (stage 2) – loans for which a significant increase in credit risk has occurred compared to original expectations i.e. a significant increase in credit risk is presumed if interest and/or principal payments are 90 days past due; and non-performing (stage 3) – interest and/or principal repayments are 120 days past due or it becomes probable a customer will enter business rescue or bankruptcy. This assessment summarises the credit risk and how the expected credit loss (ECL) provision is determined for each of those categories.

Loans and other receivables are segmented into counterparty type (i.e. income generating property entity and corporate, contractual property income) which assists with risk assessment. The probability of a loan defaulting has been determined using historical data up to 36 months from inception together with other pertinent information that is available. A summary of the assumptions underpinning the Group's expected credit loss model is as follows:

CATEGORY	DEFINITION OF CATEGORY	RECOGNITION OF ECL PROVISION
Performing	Loans whose credit risk is in line with original expectations	12-month expected credit losses. Where the expected lifetime of an asset is less than 12 months, expected losses are measured at its expected lifetime (stage 1)
Underperforming	Loans for which a significant increase in credit risk has occurred compared to original expectations; a significant increase in credit risk is presumed if interest and/or principal payments are 90 days past due	Lifetime expected losses (stage 2)
Non-performing	Interest and/or principal repayments are 120 days past due or it becomes probable a customer will enter business rescue or bankruptcy	Lifetime expected losses (stage 3)

Loans due from subsidiaries and loans receivable

The credit risk associated with 277 Vermeulen Street Properties Proprietary Limited has remained high in the current year and continues to be classified as Stage 3. This is due to the subsidiary's income-generating property remaining 81.4% vacant, indicating a persistent risk of default. Similarly, there has been a sustained significant credit risk (Stage 3) for K2014000273 Proprietary Limited as the property remains 100% vacant, further heightening the risk of default.

The loan owing by Hestitrix Proprietary Limited remains classified as Stage 3 under IFRS 9, reflecting the continued presence of significant credit risk and credit impairment. This classification remains unchanged despite the increase in the property's fair value compared to the prior year and vacancy levels remaining stable. While these indicators reflect improved asset stability and market conditions, they have not been sufficient to support a reassessment of the loan's credit impairment status. Management continues to monitor the exposure closely and implement measures aimed at mitigating credit risk and supporting the long term financial sustainability of the asset.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

The Company raised an ECL provision based on the assessment below.

At 28 February 2026, the exposure to credit risk for loans due from connected parties by counterparty was as follows:

The following table presents an analysis of the credit quality of loans due from subsidiaries. It indicates whether assets were subject to a 12-month ECL or lifetime ECL allowance and, in the latter case, whether they were credit-impaired.

COMPANY - Figures in R'000	2026		2025	
	LOAN BALANCE	LIFETIME ECL	LOAN BALANCE	LIFETIME ECL
277 Vermeulen Street Properties Proprietary Limited	18 260	12 240	17 930	14 420
Hestitrix Proprietary Limited	199 497	100 163	213 966	113 705
K2014000273 Proprietary Limited	161 913	128 971	158 409	145 300
Gross carrying amount	379 670	241 374	390 305	273 425
Loss allowance	(241 374)	-	(273 425)	-
Carrying amount	138 296	241 374	116 880	273 425

The movement in the allowance for impairment for loans due from subsidiaries during the year was as follows:

Figures in R'000	2026	2025
Balance as at 1 March	273 425	283 598
Net remeasurement of loss allowance	(32 051)	(10 173)
Balance at 28 February	241 374	273 425

The following table provides an explanation of how significant changes in the gross carrying amount of financial instruments during the period contributed to changes in loss allowance.

COMPANY - Figures in R'000	OPENING BALANCE	2026 IMPACT: INCREASE/(DECREASE)			CLOSING BALANCE
		STAGE 1	STAGE 2	STAGE 3	
Increase/(decrease) in loans advanced for the year					
277 Vermeulen Street Properties Proprietary Limited	17 930	-	-	330	18 260
Hestitrix Proprietary Limited	213 966	-		(14 469)	199 497
K2014000273 Proprietary Limited	158 409	-	-	3 504	161 913
	390 305	-	-	(10 635)	379 670

COMPANY - Figures in R'000	OPENING BALANCE	2025 IMPACT: INCREASE/(DECREASE)			CLOSING BALANCE
		STAGE 1	STAGE 2	STAGE 3	
Increase/(decrease) in loans advanced for the year					
277 Vermeulen Street Properties Proprietary Limited	20 565	-	-	(2 635)	17 930
Hestitrix Proprietary Limited	230 320	-	-	(16 354)	213 966
K2014000273 Proprietary Limited	177 755	-	-	(19 346)	158 409
	428 640	-	-	(38 335)	390 305

The Company raised an ECL provision based on the assessment below:

All loans are located within South Africa

2026	PERFORMANCE CATEGORY	GROSS CARRYING AMOUNT R'000	PROBABILITY OF DEFAULT (PD)	LOSS GIVEN DEFAULT (LGD)	EXPECTED CREDIT LOSS (ECL)
Counterparty					
277 Vermeulen Street Properties Proprietary Limited	Under-performing	18 260	100.0%	67.04%	67.04%
Hestitrix Proprietary Limited	Under-performing	199 497	100.0%	50.21%	50.21%
K2014000273 Proprietary Limited	Under-performing	161 913	100.0%	79.65%	79.65%
		379 670			

2026	PERFORMING	UNDER-PERFORMING	NON-PERFORMING	TOTAL
Expected credit loss allowance				
Balance at the beginning of the year	-	-	273 425	273 425
Current year ECL provision	-	-	(32 051)	(32 049)
Balance at the end of the year	-	-	241 374	241 376

2025	PERFORMANCE CATEGORY	GROSS CARRYING AMOUNT R'000	PROBABILITY OF DEFAULT (PD)	LOSS GIVEN DEFAULT (LGD)	EXPECTED CREDIT LOSS (ECL)
Counterparty					
277 Vermeulen Street Properties Proprietary Limited	Under-performing	17 930	100.0%	80.4%	80.4%
Hestitrix Proprietary Limited	Under-performing	213 966	100.0%	53.1%	53.1%
K2014000273 Proprietary Limited	Under-performing	158 409	100.0%	79.9%	79.9%
		390 305			

2025	PERFORMING	UNDER-PERFORMING	NON-PERFORMING	TOTAL
Expected credit loss allowance				
Balance at the beginning of the year	-	-	283 598	283 598
Current year ECL provision	-	-	(10 173)	(10 173)
Balance at the end of the year	-	-	273 425	273 425

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

2026	PERFORMANCE CATEGORY	GROSS CARRYING AMOUNT R'000	PROBABILITY OF DEFAULT (PD)	LOSS GIVEN DEFAULT (LGD)	EXPECTED CREDIT LOSS (ECL)
Counterparty					
Somnipoint	Non-performing	20 988	100%	100%	(20 988)
Educor	Non-performing	16 751	100%	100%	(16 751)
		37 739			(37 739)

2026	PERFORMING	UNDER-PERFORMING	NON-PERFORMING	TOTAL
Expected credit loss allowance	-	-	37 738	37 738
Balance at the beginning of the year	-	-	37 739	37 739
Current year ECL provision	-	-	-	-
Balance at the end of the year	-	-	37 739	37 739

2025	PERFORMANCE CATEGORY	GROSS CARRYING AMOUNT R'000	PROBABILITY OF DEFAULT (PD)	LOSS GIVEN DEFAULT (LGD)	EXPECTED CREDIT LOSS (ECL)
Counterparty					
Somnipoint	Non-performing	20 988	100%	100%	(20 988)
Educor	Non-performing	16 751	100%	100%	(16 751)
		37 739			(37 739)

2025	PERFORMING	UNDER-PERFORMING	NON-PERFORMING	TOTAL
Expected credit loss allowance	-	-	37 738	37 738
Balance at the beginning of the year	-	-	37 738	37 738
Current year ECL provision	-	-	1	1
Balance at the end of the year	-	-	37 739	37 739

Trade receivables

Credit risk arises from the risk that a tenant may default or not meet its obligations timeously. Management has established a credit policy under which each new tenant is analysed individually for creditworthiness before the Group's standard payment terms and conditions are offered, which include in certain cases the provision of a deposit. The financial position of the tenants is monitored on an ongoing basis. Allowance is made for specific doubtful debts and credit risk is therefore limited to the carrying amount of the financial assets at financial year-end. There have been no significant changes in the credit risk management policies and processes since the prior reporting period.

Trade receivables was assessed in terms of IFRS 9 simplified approach, which entailed formulating a matrix that applied historical performance (bad debt write offs applied to appropriate Groupings of receivables based on shared credit risk characteristics) over a three-year period to forward looking economic and company-specific risk assessments (credit rating, public debt % of GDP, economic growth, political risk, property sector outlook). Risks were weighted against low/medium/high assessment, resulting in a cumulative ECL risk percentage which was applied to trade receivables net of specific doubtful debt allowances. An expected credit loss allowance of R39.7m was raised in terms of IFRS 9.

GROUP 2026	CURRENT	30 DAYS	60 DAYS	90 DAYS	TOTAL
Gross trade receivables (R'000)*	14 830	21 781	22 122	92 709	151 442
Expected loss %	3.2%	1.6%	0.9%	41.7%	
Expected credit loss (R'000)	(473)	(358)	(210)	(15 888)	(16 929)
Expected credit loss allowance specifically identified (R'000)	-	-	-	(22 763)	(22 763)
Net trade receivables (R'000)	14 357	21 423	21 912	54 058	111 750

* The Gross trade receivables includes accrued recoveries and excludes credit balances and VAT. Deposits received from tenants were appropriated.

The trade receivables balance in respect of 90 days and above consists of various tenant categories, with 48% of this balance being to tenants that have been handed over. These tenants are classified as legal tenants and are each assigned a 100% Expected Credit Loss (ECL), which is reflected in the total ECL balance of R39.7m.

The classification of these tenants as legal ensures that they remain in compliance with contractual obligations, while the high ECL reflects potential risks associated with the collectability of these outstanding balances. The split between tenant categories provides a detailed view of the risk exposure within the receivables portfolio.

A specific amount of R22.8m is attributed to one Government tenant that is currently in dispute. This particular tenant's receivable has been identified separately due to the ongoing dispute, and its impairment has been recognized in the ECL balance. The overall expected credit losses have increased in the current year compared to the prior year, primarily due to increase in trade receivables compared to prior year.

GROUP 2025	CURRENT	30 DAYS	60 DAYS	90 DAYS	TOTAL
Gross trade receivables (R'000)*	37 860	24 041	12 519	80 804	155 224
Expected loss %	13.4%	11.9%	13.1%	63.7%	
Expected credit loss (R'000)	(5 058)	(2 858)	(1 638)	(31 195)	(40 749)
Expected credit loss allowance specifically identified (R'000)	-	-	-	(20 262)	(20 262)
Net trade receivables (R'000)	32 802	21 183	10 881	29 347	94 213

The movement in the allowance for impairment for trade and other receivables during the year was as follows:

GROUP (R'000)	GROUP 2026	GROUP 2025
Balance as at 1 March	61 011	56 468
Net remeasurement of loss allowance	(21 319)	4 543
- Utilised	(48 673)	(19 960)
- Raised/Reversed	27 354	24 503
Balance as at year end	39 692	61 011

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

COMPANY 2026	CURRENT	30 DAYS	60 DAYS	90 DAYS	TOTAL
Gross trade receivables (R'000)*	14 800	21 776	22 120	85 474	144 170
Expected loss %	3.2%	1.6%	0.9%	44.9%	-
Expected credit loss (R'000)	(473)	(357)	(210)	(15 584)	(16 624)
Expected credit loss allowance specifically identified (R'000)	-	-	-	(22 764)	(22 764)
Net trade receivables (R'000)	14 327	21 419	21 910	47 126	104 782

* The Gross trade receivables includes accrued recoveries and excludes credit balances and VAT. Deposits received from tenants were appropriated.

COMPANY 2025	CURRENT	30 DAYS	60 DAYS	90 DAYS	TOTAL
Gross trade receivables (R'000)*	37 806	23 880	12 378	73 413	147 477
Expected loss %	13.3%	11.9%	13.1%	69.7%	-
Expected credit loss (R'000)	(5 026)	(2 842)	(1 623)	(30 923)	(40 414)
Expected credit loss allowance specifically identified (R'000)				(20 262)	(20 262)
Net trade receivables (R'000)	32 780	21 038	10 755	22 228	86 801

The movement in the allowance for impairment for trade and other receivables during the year was as follows:

COMPANY (R'000)	COMPANY 2026	COMPANY 2025
Balance as at 1 March	60 676	56 283
Net remeasurement of loss allowance	(21 288)	4 393
- Utilised	(48 165)	(18 909)
- Raised/Reversed	26 877	23 302
Balance as at year-end	39 388	60 676

31.3 Liquidity risk

Liquidity risk is the risk that the Group would not be able to meet its financial obligations as they fall due in the normal course of business. The Group’s approach to managing liquidity is to ensure that it has adequate funds available and seeks to borrow for longer terms at commercially viable cost of debt. Delta has a revolving credit facility of R72.0m with Nedbank and R10.0m with Standard Bank. This facility together with the overdraft facility and available positive cash (refer to note 10) will be utilised for the Group to meet its liabilities when they become due.

Cash reserves are monitored on a daily basis. The Group employs forward-looking liquidity management principles through the use of cash flow forecasting and scenario planning. The sale of assets is factored in when reviewing cash flow requirements.

The tables below set out the maturity analysis of the Group and Company’s financial assets and liabilities based on the undiscounted contractual cash flows.

The Group monitors the level of expected cash inflows on trade and other receivables together with expected cash outflows on trade and other payables.

As described in note 10, the Group has facilities with Nedbank, Investec and Standard Bank, a syndicated loan shared with Bank of China and State Bank of India. Interest-bearing borrowings are secured by investment property (refer to note 3), non-current assets held-for-sale (refer to note 11) and Investment in listed security (refer note 7).

The Group is exposed to liquidity risk arising from the mismatch between the maturity of financial assets and liabilities. The structural tenure of the Group’s funding facilities is predominantly short term, increasing the risk that obligations may not be met as they fall due. Management’s strategy to reduce debt through the disposal of non-core assets is intended to improve the loan-to-value and interest cover covenants. However, there is a risk that the timing and quantum of disposal proceeds may be insufficient to meet short-term liabilities.

To mitigate this risk, management continues to engage with lenders to extend the maturity profile of the Group’s facilities to longer-term arrangements. Furthermore, the Group is exploring alternative sources of funding and maintaining close oversight of cash flow forecasts to ensure sufficient liquidity is available to meet operational and financing obligations.

GROUP (R'000) 2026	INTEREST RATE % ^	LESS THAN ONE YEAR	ONE TO FIVE YEARS	TOTAL
Financial assets				
Trade and other receivables		160 055	-	160 055
Cash and cash equivalents	Prime	9 389	-	9 389
		169 444	-	169 444
Financial liabilities				
Interest-bearing borrowings*	10.3%	3 007 530	588 246	3 595 776
Trade and other payables#		178 460	-	178 460
Bank overdraft	Prime	94 759	-	94 759
Lease liabilities		4 201	12 183	16 384
		3 284 950	600 429	3 885 379

* Represents undiscounted future settlement of capital and interest.

Excludes VAT.

^ Weighted average effective interest rate.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

GROUP (R'000) 2025	INTEREST RATE % ^	LESS THAN ONE YEAR	ONE TO FIVE YEARS	TOTAL
Financial assets				
Trade and other receivables		146 972	-	146 972
Cash and cash equivalents	Prime	6 194	-	6 194
		153 166	-	153 166
Financial liabilities				
Interest-bearing borrowings*	11.2%	2 485 649	1 372 062	3 857 711
Trade and other payables#		162 975	-	162 975
Bank overdraft	Prime	85 730	-	85 730
Lease liabilities		6 363	18 177	24 540
		2 740 717	1 390 239	4 130 956

COMPANY (R'000) 2026	INTEREST RATE % ^	LESS THAN ONE YEAR	ONE TO FIVE YEARS	TOTAL
Financial assets				
Trade and other receivable		152 044	-	152 044
Cash and cash equivalents	Prime	9 387	-	9 387
Loans to subsidiaries		138 296	-	138 296
		299 727	-	299 727
Financial liabilities				
Loans from subsidiaries		4 205	-	4 205
Interest-bearing borrowings*	10.3%	3 007 530	588 246	3 595 776
Trade and other payables#		169 171	-	169 171
Bank overdraft	Prime	92 981	-	92 981
Lease liabilities		3 510	10 353	13 863
		3 277 397	598 599	3 875 996

* Represents undiscounted future settlement of capital and interest.

Excludes VAT. In the prior year income received in advance was excluded from trade and other payables, this has been adjusted in the current year and comparative figures have been reclassified on the same basis to ensure consistency.

^ Weighted average effective interest rate.

COMPANY (R'000) 2025	INTEREST RATE % ^	LESS THAN ONE YEAR	ONE TO FIVE YEARS	TOTAL
Financial assets				
Trade and other receivable		138 431	-	138 431
Cash and cash equivalents	Prime	6 187	-	6 187
Loans to subsidiaries		116 880	-	116 880
		261 498	-	261 498
Financial liabilities				
Loans from subsidiaries		4 205	-	4 205
Interest-bearing borrowings*	11.2%	2 485 649	1 372 062	3 857 711
Trade and other payables#		157 742	-	157 742
Bank overdraft	Prime	85 720	-	85 720
Lease liabilities		2 988	8 972	11 960
		2 736 304	1 381 034	4 117 338

* Represents undiscounted future settlement of capital and interest.

Excludes VAT. In the prior year income received in advance was excluded from trade and other payables, this has been adjusted in the current year and comparative figures have been reclassified on the same basis to ensure consistency.

^ Weighted average effective interest rate.

32. Capital Management

The Group's objective when managing capital (which includes share capital, borrowings, working capital and cash and cash equivalents) is to maintain a flexible capital structure that reduces the cost of capital to an acceptable level of risk and to safeguard the Group's ability to continue as a going concern while taking advantage of strategic opportunities in order to maximise stakeholder returns sustainably. In order to effectively manage the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new shares or sell assets to reduce debt.

Figures in R'000	Notes	GROUP		COMPANY	
		2026	2025	2026	2025
Gross debt*		3 583 022	3 843 742	3 577 443	3 831 712
Add Overdraft less cash and cash equivalents	12	85 370	79 536	83 594	79 533
Net debt	A	3 668 392	3 923 278	3 661 037	3 911 245
Total assets		6 476 370	6 587 152	6 432 079	6 525 511
Less cash and cash equivalents	12	(9 389)	(6 194)	(9 387)	(6 187)
Less trade and other receivables	10	(160 540)	(155 396)	(152 530)	(146 855)
Carrying amount of property-related assets	B	6 306 441	6 425 562	6 270 162	6 372 469
Loan-to-value (%)	A/B	58.2	61.1	58.4	61.4

* Due to the working capital nature of interest accrual, gross debt excludes the interest accrual on interest bearing borrowings.

Gross debt is the sum of all interest-bearing financial liabilities, whether through bank loans or any other means, and lease liabilities as reflected in the statement of financial position.

Notes to the
Financial Statements cont.

For the year ended 28 February 2026

The Company is committed to reducing the current LTV and maintaining an LTV ratio for the Group of 50% of Delta's property portfolio including and loans receivable. The Group's LTV ratio is above the bank covenants of 50%. The high LTV is primarily due to the significant devaluation of the Group's investment properties in the past, and it is expected to normalise over the short to improve as property valuation increase in the medium term.

33. Events After the Reporting Period

The subsequent events below were assessed and the matters are detailed below:

Property Disposals

Transfer of the following properties was registered after the reporting period:
Parkmore 07 May 2026

Extension

- Nedbank extended its facilities when they became due on 7 April 2026 to 7 April 2027.
- Standard Bank extended its facilities that will fall due on 31 May 2026 namely tranche 1 to 31 May 2028 and tranche 2 to 30 November 2028.

34. Going Concern

The Board believes that as of the date of this report, the going concern presumption is appropriate and accordingly the financial statements have been prepared on a going concern basis. The Board has based this assumption on the considerations more fully explained throughout this note.

The below factors cast doubt upon Delta's ability to continue as a going concern:

- The Group's current liabilities of R3.3bn exceed its current assets (including non-current assets held-for-sale) by R2.5bn (FY25: R2.4bn), while the Company's current liabilities of R3.3bn exceed its current assets (including non-current assets held-for-sale) by R2.5bn (FY25: R2.4bn). This is mainly due to the structural tenure of the Group's funding facilities and as such the ability of the Group and Company to meet its obligations to lenders in the short term will be constrained, management continues to engage with the lenders in this regard; and
- The Group and Company had a covenant LTV ratio of 56.7% (FY25: 59.5%) and 58.9% (FY25: 61.7%) respectively, these ratios have exceeded the covenants set by the lenders of 50%. The Group and Company had an interest cover ratio of 1.5 times (FY25: 1.4 times) and 1.5 times (FY25: 1.4 times), this is below the covenant set by the lenders of 2.0 times. Covenant LTV and ICR improved from prior year. On the successful sale of properties earmarked for disposal, as a result of repayment of debt facilities from the proceeds of these disposals LTV is expected to reduce to below 50% and ICR to improve to within the covenant levels.

Solvency

The Group's total assets of R6.5bn exceeded its total liabilities by R2.5bn (FY25: R2.4bn) while the Company's total assets of R6.4bn exceeded its total liabilities by R2.5bn (FY25: R2.4bn).

Liquidity

In assessing the Group's and Company's liquidity, management prepared a cash flow forecast up until 31 May 2027, taking into consideration its turnaround strategy and other initiatives which, if successfully implemented, indicate that the Group and Company will have sufficient cash resources for the foreseeable future, which is defined as 12 months from the date of publishing these financial statements. Operational cash flows are strong and evident from the cash flow statement.

Cash flows and liquidity are monitored on a daily basis by management with oversight from the Board. Management has considered a number of estimates, judgements and assumptions in performing the liquidity assessments, the most significant of which are listed and expanded upon below:

- Continued positive engagement and support from the Group's and Company's lenders including amending and extending repayment terms of facilities beyond scheduled maturity dates despite exceeding certain loan covenant ratios;
- Subsequent to year-end, the Group successfully finalised the extension of its expiring credit facilities. The Nedbank facilities, which expired on 7 April 2026, were extended to 7 April 2027. The Standard Bank facilities expiring on 31 May 2026 were extended in two tranches, with Tranche 1 extended to 31 May 2028 and Tranche 2 to 30 November 2028.
- The continued reduction of debt following repayments funded by proceeds generated from the disposal of non-core properties, and scheduled amortisation in line with the Group's strategy.
- Reduction of vacancies to below existing levels and aligning vacancy rates to market norms.

Conclusion

The Board is of the view that given the positive cash generation and significant headroom in the fair value of the assets over the fair value of the liabilities, the Group and Company remains solvent as at 28 February 2026 and at the date of this report.

The Board acknowledges that execution of the business plans of the Group and Company are dependent on the sale of non-core assets and the extension of facilities by external lenders. Should the execution of the business plans of the Group and Company not materialise as planned, a material uncertainty exists, which may cast significant doubt on the Company and Group's ability to continue as a going concern and therefore, it may be unable to realise its assets and discharge its liabilities in the normal course of business. Notwithstanding the acknowledgement of the material uncertainty and having considered the validity of the principal assumptions set out above, the Board has concluded that the Group and Company is able to discharge its financial obligations in the normal course of business and that the going concern assumption is appropriate in the preparation of the financial statements.

Despite the going concern assumption above, having considered the solvency and liquidity test as well as the impact that any distribution will have on the cash position of the business, the Board has resolved not to declare a distribution.

35. Segment Information

General information

The Group has three reportable segments based on the type of property being Office-Sovereign, Office-Other and Head Office. This segmentation reflects the interrelated nature of the services provided, the similar economic characteristics across these property types and how business performance is internally monitored and resources are allocated. In instances where a property has more than one tenant, the classification is based on the tenant type occupying the majority of the property. For each strategic business segment, the entity's executive management team reviews internal management reports on a monthly basis. All operating segments are located in South Africa.

As permitted under IFRS 8 Operating Segments, the Group has elected not to disclose segment assets and liabilities. as the CODM no longer considers this information in assessing performance or allocating resources. Instead, management now assesses assets based on their strategic classification as either core or non-core, rather than allocating them to individual operating segments. Consequently, the presentation of segment assets and liabilities is no longer considered relevant to users of the financial statements.

The accounting policies of the segments are the same as those applied in the Group. There were no inter-segment sales during the period.

Notes to the
Financial Statements cont.
For the year ended 28 February 2026

The following summary describes the operations in each of the entity’s reportable segments:

Revenue and property expenses

YEAR ENDED 28 FEBRUARY 2026	RENTAL INCOME	STRAIGHT-LINING	PROPERTY EXPENSES	NET OPERATING INCOME
Office-Sovereign	996 163	(3 221)	(339 663)	653 279
Office-Other	154 637	334	(133 309)	21 662
	1 150 800	(2 887)	(472 972)	674 941

YEAR ENDED 28 FEBRUARY 2025	RENTAL INCOME	STRAIGHT-LINING	PROPERTY EXPENSES	NET OPERATING INCOME
Office-Sovereign	973 900	2 503	(307 082)	669 321
Office-Other	166 519	499	(114 932)	52 086
	1 140 419	3 002	(422 014)	721 407

Other incomes and expenses

YEAR ENDED 28 FEBRUARY 2026	OTHER INCOME	FAIR VALUE ADJUSTMENTS	ECL PROVISIONS	LOSS ON FOREIGN EXCHANGE MOVEMENTS	ADMINISTRATION EXPENSES	FINANCE INCOME	FINANCE COSTS	TAXATION	PROFIT/ (LOSS) AFTER TAX
Office-Sovereign	9 427	56 111	(22 801)	-	(358)	2 822	(2 530)	-	695 950
Office-Other	7 642	(35 706)	(4 567)	-	(386)	1 556	(1 599)	-	(11 398)
Head Office	1 613	(15 351)	-	(969)	(93 161)	185	(408 268)	(41 594)	(557 545)
	18 682	5 054	(27 368)	(969)	(93 905)	4 563	(412 397)	(41 594)	127 007

YEAR ENDED 28 FEBRUARY 2025	OTHER INCOME	FAIR VALUE ADJUSTMENTS	ECL PROVISIONS	LOSS ON FOREIGN EXCHANGE MOVEMENTS	ADMINISTRATION EXPENSES	FINANCE INCOME	FINANCE COSTS	TAXATION	PROFIT/ (LOSS) AFTER TAX
Office-Sovereign	4 690	20 451	(23 853)	-	(525)	475	(997)	-	669 562
Office-Other	14 765	(198 737)	36	-	(260)	1 413	(1 203)	-	(131 900)
Head Office	-	(44 218)	(1 718)	(2 910)	(100 947)	742	(460 805)	(32 017)	(641 873)
	19 455	(222 504)	(25 535)	(2 910)	(101 732)	2 630	(463 005)	(32 017)	(104 211)

Harlequins Office Park
Pretoria, Gauteng

SA REIT
Disclosures

The second edition of the SA REIT Association’s best practice recommendations was issued in November 2019 and is effective for reporting periods commencing on or after 1 January 2020. In May 2026, the SA REIT Association issued the third edition of its best practice recommendations, which is effective for financial years commencing on or after 1 January 2026. The third edition is accordingly not applicable to the Group for the current financial year, and the Group is in the process of assessing the potential impact thereof.

The information set out below includes the calculation of SA REIT Funds from Operations (FFO), Funds from Operations per share (FFOPS) and other pro forma financial information in terms of the JSE Listings Requirements.

Basis of preparation: Pro Forma Financial Information

The pro forma financial information has been compiled to provide investors with performance metrics that are commonly used in the industry to enable direct comparison of South African Real Estate Investment Trusts. Due to its nature the pro forma financial information may not fairly present the results of operations of the Group and Company.

The Directors are responsible for compiling the pro forma financial information on the basis of the Applicable Criteria specified in the JSE Listings Requirements, including the JSE Guidance Letter: Presentation of pro forma financial information, dated 16 February 2026.



Commissioner House
Cape Town, Western Cape

Figures in R'000

SA REIT FUNDS FROM OPERATIONS (SA REIT FFO)

Profit/(loss) per IFRS Accounting Standards statement of comprehensive income attributable to the parent

Adjusted for:

Accounting Specific Adjustments

Fair value adjustment to:

- Investment property including non-current assets held-for-sale

- Debt and equity instruments held at fair value

Straight-lining operating lease adjustments

Depreciation of property, plant and equipment

Deferred tax movement recognised in profit or loss

Adjustments arising from investing activities Gains or losses on disposal of:

Gains or losses on disposal of:

Investment property and property, plant and equipment

Foreign exchange and hedging activities

Fair value adjustments on derivative financial instruments employed solely for hedging

Foreign exchange gains or losses relating to capital items – realised and unrealised

Other adjustments:

Income of capital nature

SA REIT: A+B+C+D+E

Number of shares in issue ('000)

SA REIT FFO (cents)

GROUP		
Notes	2026	2025
A		
	127 007	(104 211)
	(28 238)	218 309
	(43 589)	174 727
B	15 351	43 582
	2 887	(3 002)
	1 852	2 695
	4 925	(208)
	(18 574)	217 794
C		
	23 184	3 559
	23 184	3 559
D		
	-	636
	969	2 910
E	969	3 546
	(9 255)	(12 724)
	(9 255)	(12 724)
	123 331	107 964
	714 237	714 237
	17.3	15.1

SA REIT
Disclosures cont.

Figures in R'000	Notes	GROUP	
		2026	2025
SA REIT NET ASSET VALUE (“SA REIT NAV”)			
Reported NAV attributable to the parent		2 543 780	2 416 773
Adjustments:			
- Deferred tax		7 522	2 597
SA REIT NAV		2 551 302	2 419 370
Shares outstanding			
Number of shares in issue at period end (net of treasury shares)		714 237	714 237
Number of shares in issue		714 237	714 237
SA REIT NAV per equity share (Rand)		3.6	3.4
SA REIT LOAN-TO-VALUE (“SA REIT LTV”)			
Gross debt			
add:		3 583 022	3 843 742
- Cash and Cash equivalents/overdraft		85 370	79 536
Net debt		3 668 392	3 923 278
Total assets as per statement of financial position		6 476 370	6 587 152
Less:			
- Cash and Cash equivalents		(9 389)	(6 194)
- Trade and other receivables		(160 540)	(155 396)
Carrying amount of property-related assets		6 306 441	6 425 562
SA REIT LTV (%)		58.2	61.1
SA REIT COST-TO-INCOME RATIO			
Expenses			
Operating expenses per IFRS Accounting Standards income statement (includes municipal expenses)		472 972	422 014
Bad debt expenses and ECL allowances associated with rental income		27 354	24 503
Administrative expenses per IFRS Accounting Standards income statement		93 905	101 732
Less: Depreciation expense in relation to property, plant and equipment		(1 854)	(2 695)
Operating costs		592 377	545 554
Rental income			
Contractual rental income per IFRS Accounting Standards income statement (excluding straight-lining)		924 591	923 706
Utility and operating recoveries per IFRS Accounting Standards income statement		226 209	216 713
Gross rental income		1 150 800	1 140 419
SA REIT cost -to-income ratio (%)		51.5	47.8

Figures in R'000

SA REIT ADMINISTRATIVE COST-TO-INCOME RATIO

Expenses

Administrative expenses per IFRS Accounting Standards income statement

Administrative costs

Rental income

Contractual rental income per IFRS Accounting Standards income statement (excluding straight-lining)

Utility and operating recoveries per IFRS Accounting Standards income statement

Gross rental income

SA REIT administrative cost-to-income ratio (%)

SA REIT GLA VACANCY RATE

GLA of vacant space

GLA of total property portfolio

SA REIT GLA vacancy rate (%)

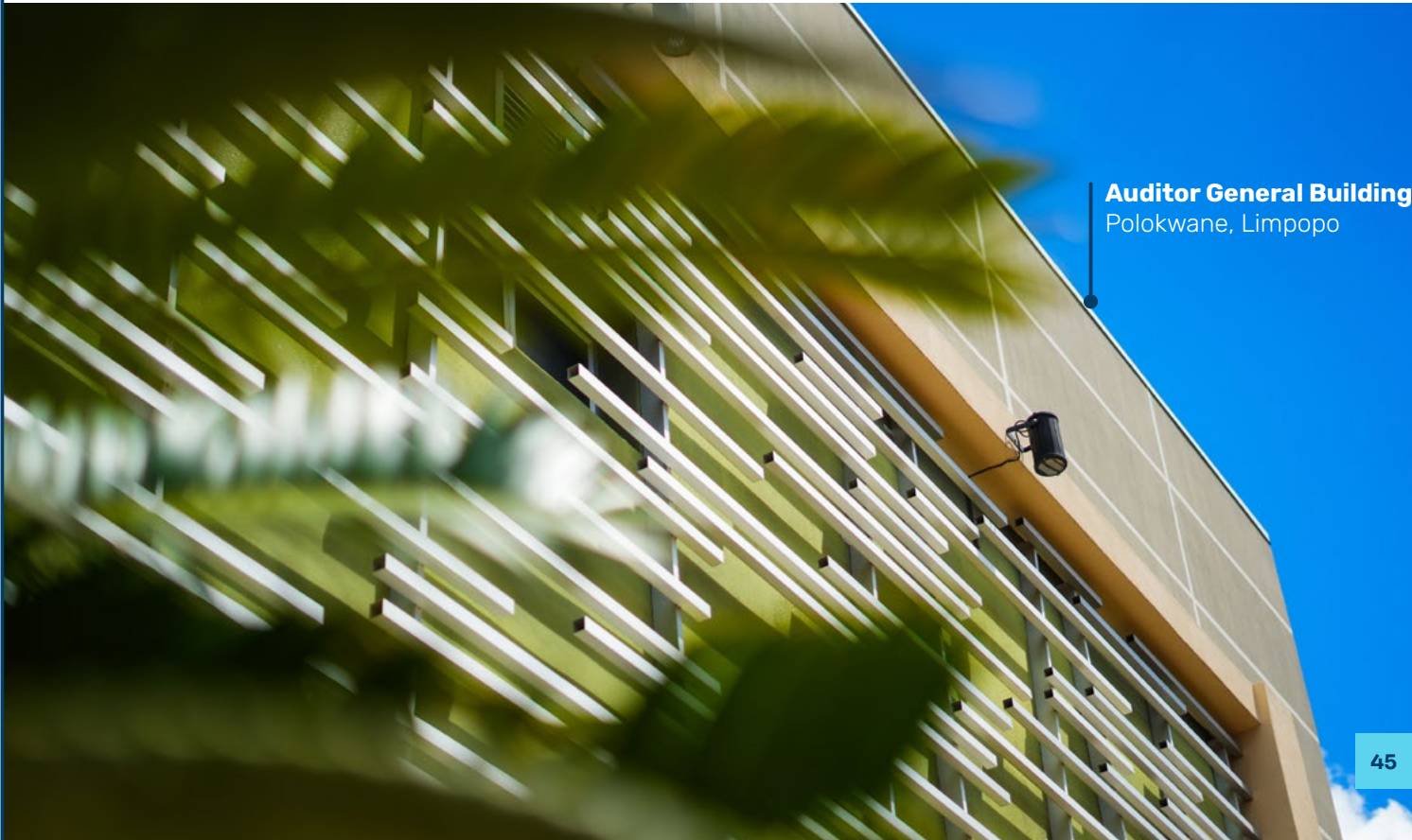
WEIGHTED AVERAGE COST OF DEBT

Variable interest rate borrowings

Floating reference rate plus weighted average margin

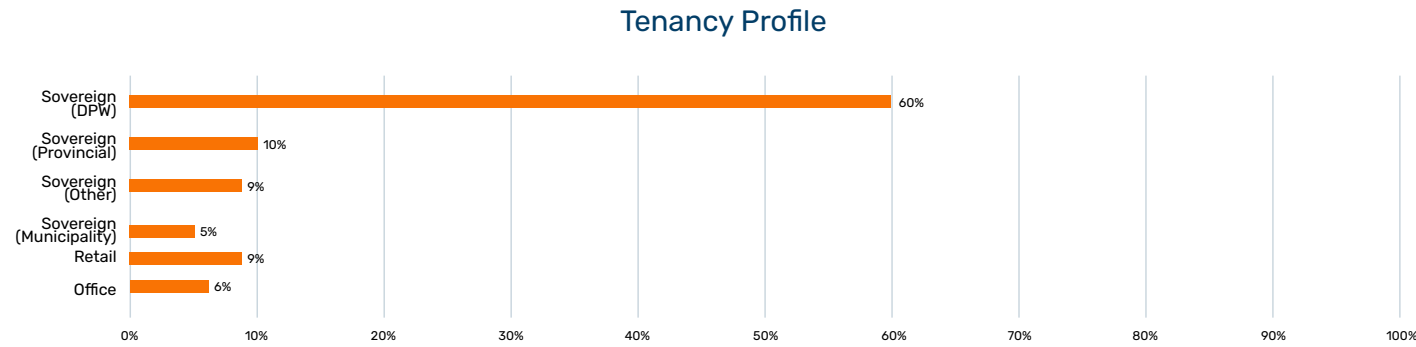
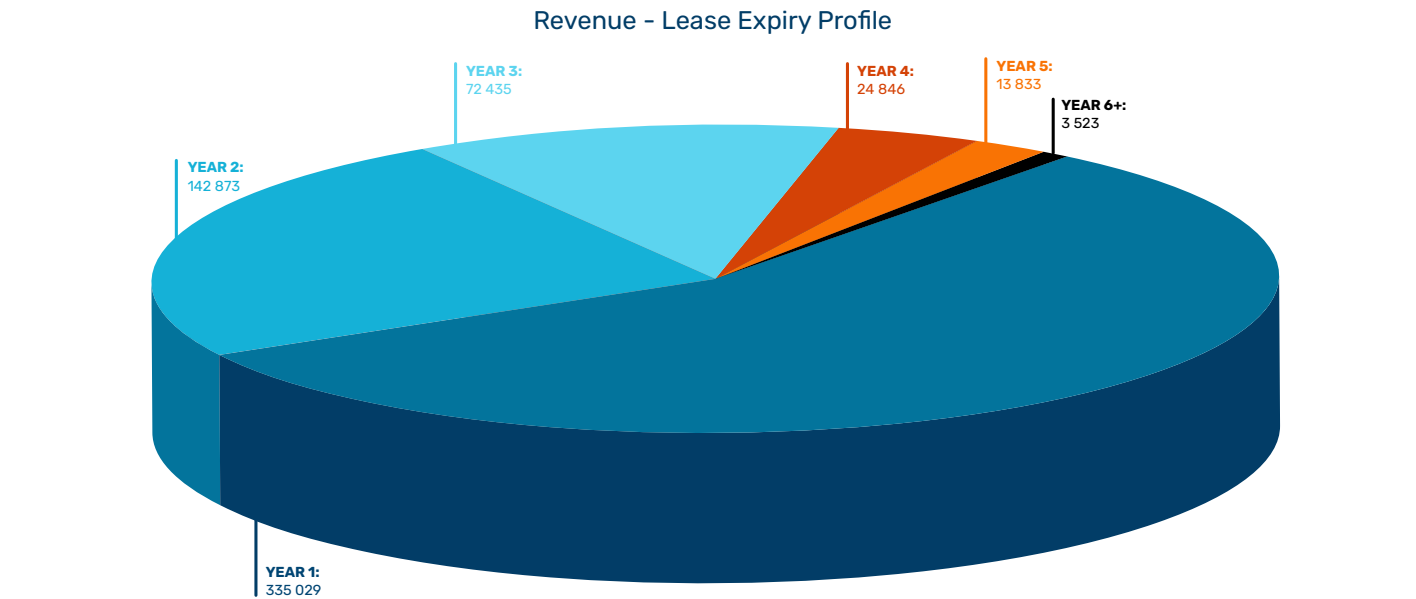
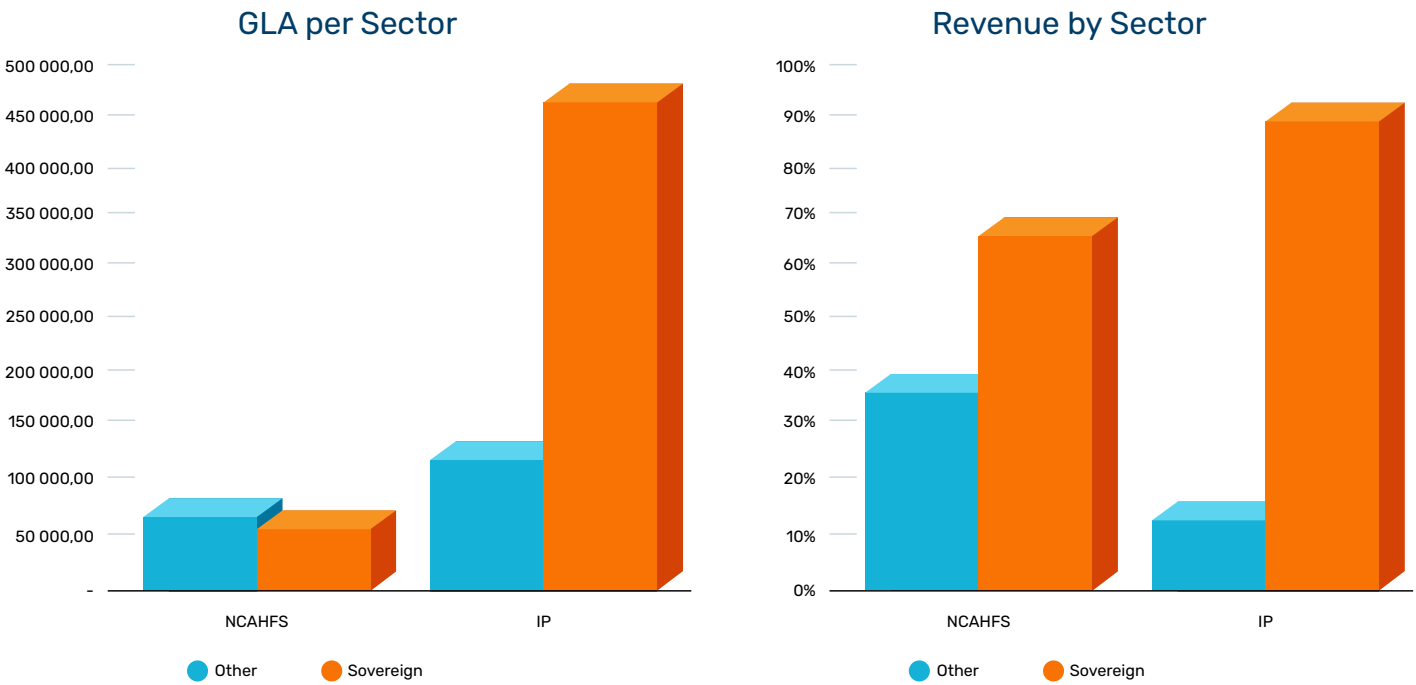
All-in weighted average cost of debt

Notes	GROUP	
	2026	2025
	93 905	101 732
	93 905	101 732
	924 591	923 706
	226 209	216 713
	1 150 800	1 140 419
	8.2	8.9
	196 350	249 187
	718 328	781 568
	27.3	31.9
	10.3	11.2
	10.3	11.2

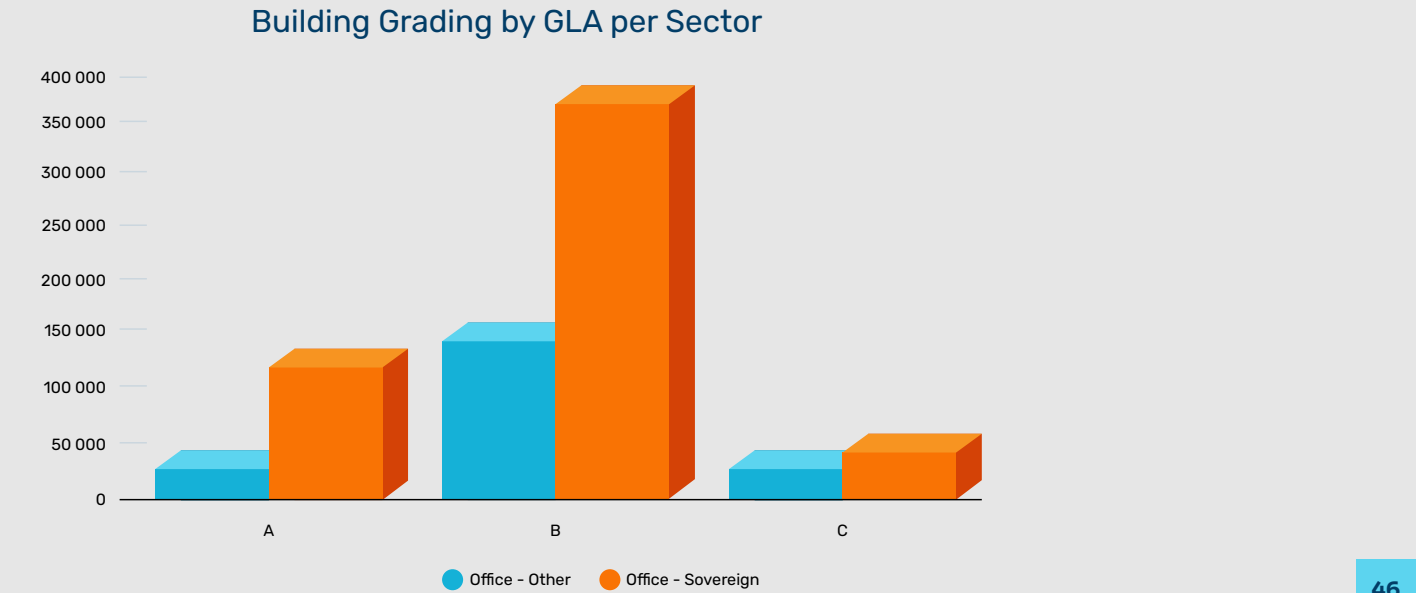
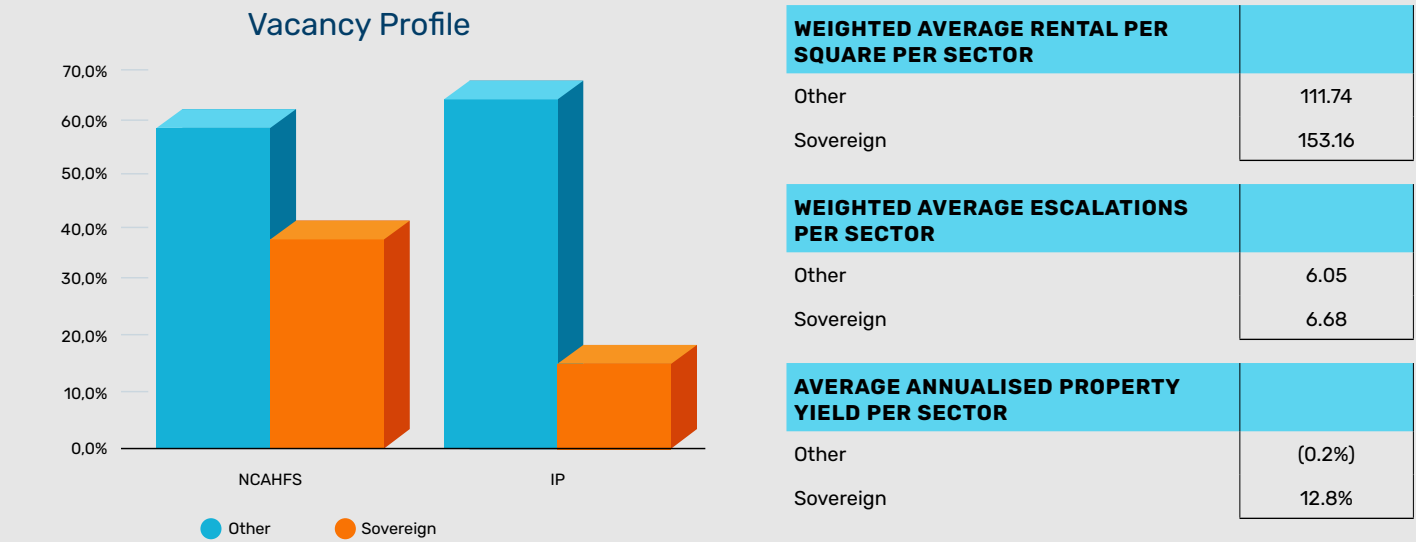
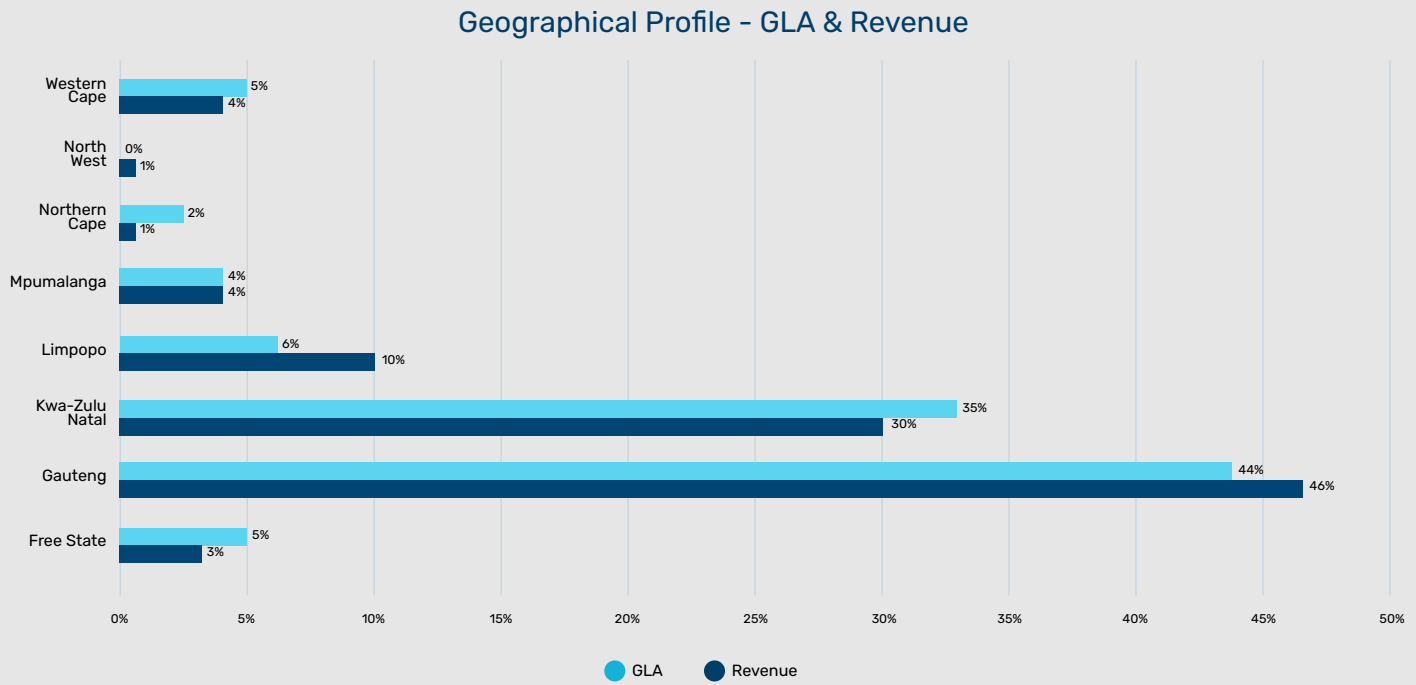


Auditor General Building
Polokwane, Limpopo

Property
Statistics



The tenant profile has been categorised by tenant type to reflect income concentration and sector exposure. Categories comprise: Sovereign DPW (national government tenants via the Department of Public Works and Infrastructure), Provincial (provincial government tenants), Municipality (local government tenants), Retail (consumer-facing trading tenants) and Office (administrative and commercial office tenants). The categories were selected to distinguish between public and private sector exposure and to assist stakeholders in assessing the diversification and stability of rental income streams.



Property
Portfolio
For the year ended 28 February 2026

	PROPERTY NAME	PROVINCE	DESCRIPTION	BUILDING SECTOR	BUILDING GRADE	BUILDING GLA	WEIGHTED AVERAGE RENT/ SQ.M	VACANCY %
1	110 Hamilton	Gauteng	6 Storey- Single Tenant Office	Office - Sovereign	B	4 511	369.91	-
2	13 Elliot	Northern Cape	1 Storey Office	Office - Sovereign	B	4 400	19.82	66%
3	17 Harrison Street Building & Kay Street Parkade	Gauteng	12 Storey Office	Office - Other	A	12 379	16.14	93%
4	2 Devonshire Place	Kwazulu-Natal	5 Storey multi - tenanted office building	Office - Sovereign	B	8 122	110.99	17%
5	22 & 24 George Lubbe - SAPS Vehicle Recovery	Free State	1 Storey- Single Tenant Office	Office - Sovereign	B	6 200	59.58	-
6	56 Barrack Street	Western Cape	7 Storey Multi -Tenant Office	Office - Sovereign	B	4 309	116.00	2%
7	88 Field Street	Kwazulu-Natal	27 Storey Multi -Tenant Office with high street retail	Office - Sovereign	B	21 793	96.78	33%
8	ABSA United	Free State	7 Storey Multi -Tenant Office	Office - Other	B	6 129	113.34	6%
9	African Life Building	Free State	5 Storey office building	Office - Other	B	8 567	22.25	76%
10	Auditor General SA	Limpopo	2 Storey- Single Tenant Office	Office - Sovereign	C	2 130	137.81	-
11	Azmo Place	Limpopo	4 Storey- Single Tenant Office	Office - Sovereign	A	5 340	106.43	-
12	Beaconsfield Building	Northern Cape	Single storey complex of five office buildings	Office - Sovereign	B	5 801	60.54	40%
13	Bestmed Building (36 Hamilton Road)	Gauteng	3 Storey office building	Office - Other	B	3 684	-	100%
14	Block G - Dti	Gauteng	4 Storey Multi -Tenant Office	Office - Sovereign	B	7 992	152.66	14%
15	Campus Building	Northern Cape	Single storey complex of nine office buildings	Office - Other	A	4 700	-	100%
16	Capital Towers	KwaZulu-Natal	14 Storey Office	Office - Other	B	11 102	-	100%
17	CCMA House	Limpopo	1 Storey- Single Tenant Office	Office - Sovereign	B	1 063	202.58	-
18	CMH	KwaZulu-Natal	Motor Showroom and Parkade	Office - Other	B	7 728	119.87	-
19	Commission House	Gauteng	5 Storey Single Tenant Office	Office - Sovereign	A	6 011	-	100%
20	Commissioner House	Western Cape	5 Storey Multi -Tenant Office	Office - Sovereign	B	4 019	121.50	-
21	Continental Building - Delta	Gauteng	10 Storey Single Tenant Office	Office - Sovereign	B	4 133	90.10	-
22	Defence Force (Old Pretoria Road)	Mpumalanga	1 storey single tenant office and industrial structure	Office - Sovereign	B	2 504	53.85	-
23	Defence Force Head Quarters Nelspruit	Mpumalanga	4 Storey Single Tenant Office	Office - Sovereign	B	2 174	84.80	-
24	Defence Force Logistics - Nelspruit	Mpumalanga	1 storey single tenant office and industrial structure	Office - Sovereign	B	2 430	102.08	-
25	Defence Force Transport - Nelspruit	Mpumalanga	2 storey single tenant office and industrial structure	Office - Sovereign	B	841	115.45	-
26	Delta Heights	Gauteng	21 Storey Multi -Tenant Office with high street retail	Office - Sovereign	B	19 959	89.54	6%
27	Delta Towers	KwaZulu-Natal	33 Storey Multi -Tenant Office with ground floor retail	Office - Other	B	41 713	54.47	45%
28	Domitek	Free State	4 Storey Single Tenant Office	Office - Sovereign	B	1 729	56.62	43%
29	Embassy Building	KwaZulu-Natal	29 Storey Multi -Tenant Office with high street retail	Office - Sovereign	C	32 723	77.23	21%
30	Fairweather Corner	Free State	4 Storey Multi -Tenant Office	Office - Other	B	5 968	27.14	69%
31	Goldman Street	Gauteng	3 Storey multi - tenant office	Office - Sovereign	B	6 531	96.65	8%
32	Hallmark Building - Delta	Gauteng	25 Storey Multi -Tenant Office with ground floor retail	Office - Sovereign	B	26 255	2.53	-
33	Harlequins Office Park - Delta	Gauteng	2 Storey Office	Office - Other	B	5 450	130.69	2%
34	Hatfield Forum East	Gauteng	6 Storey Multi -Tenant Office	Office - Sovereign	A	6 390	88.01	39%
35	Hensa Towers	Limpopo	8 Storey Single Tenant Office	Office - Sovereign	B	13 675	180.29	-
36	Hollard House & Parkade	Gauteng	9 storey single tenant office linked to an 8 storey parkade structure	Office - Sovereign	A	10 415	106.16	4%

Property
Portfolio cont.
For the year ended 28 February 2026

	PROPERTY NAME	PROVINCE	DESCRIPTION	BUILDING SECTOR	BUILDING GRADE	BUILDING GLA	WEIGHTED AVERAGE RENT/ SQ.M	VACANCY %
37	In 2 Fruit	Gauteng	Single story industrial	Office - Other	B	11 177	9.66	-
38	Isivuno House	Gauteng	22 Storey Multi -Tenant Office with high street retail	Office - Other	C	23 694	19.37	92%
39	Laboria	Free State	7 Storey Single Tenant Office	Office - Sovereign	B	3 995	79.59	-
40	Lands Claim Court Nelspruit	Mpumalanga	5 Storey Single Tenant Office	Office - Sovereign	B	2 910	237.38	-
41	Liberty Towers	Kwazulu-Natal	14 Storey Multi -Tenant Office with high street retail	Office - Sovereign	B	40 078	61.67	43%
42	Maneo Building	Limpopo	4 Storey multi - tenant office	Office - Sovereign	B	1 951	74.85	44%
43	Mayors Walk	KwaZulu-Natal	2 Storey multi - tenant office	Office - Sovereign	B	5 507	118.21	-
44	Military Hospital - Nelspruit	Mpumalanga	5 Storey Single Tenant Office	Office - Sovereign	B	3 000	84.80	-
45	N P A Building - Cape Town	Western Cape	4 Storey Single Tenant Office	Office - Sovereign	B	10 552	167.14	-
46	Nosa	Gauteng	6 Storey Single Tenant Office	Office - Sovereign	A	3 770	156.17	-
47	Old Mutual Building	Free State	5 Storey Office	Office - Other	B	3 055	33.80	59%
48	Parkmore	Gauteng	2 Storey office buildings	Office - Other	B	2 812	47.02	57%
49	Phamoko Towers	Limpopo	7 Storey Single Tenant Office	Office - Sovereign	B	13 058	172.03	-
50	Poyntons	Gauteng	33 Storey Multi -Tenant Office with high street retail	Office - Sovereign	A	73 396	48.83	16%
51	Regents Place	Gauteng	14 Storey Multi -Tenant Office with high street retail	Office - Other	B	10 289	7.84	81%
52	SA Eagle	Free State	7 Storey Single Tenant Office	Office - Other	B	3 689	70.54	10%
53	SAPS (Erf 4294 Nelspruit)	Mpumalanga	7 Storey Single Tenant Office	Office - Sovereign	A	4 637	117.98	-
54	SAPS Flying Squad Nelspruit.	Mpumalanga	1 Storey- Single Tenant Office	Office - Sovereign	C	1 125	84.80	-
55	SARS Belville (Sable Centre)	Western Cape	3 Storey Multi -Tenant Office with high street retail	Office - Other	B	17 309	11.56	92%
56	SARS Kimberley	Northern Cape	2 Storey Single Tenant Office	Office - Sovereign	B	2 950	79.77	42%
57	SARS Randburg	Gauteng	4 Storey Single Tenant Office	Office - Other	A	8 496	60.32	31%
58	SARS Springs	Gauteng	2 Storey Single Tenant Office	Office - Sovereign	B	1 922	95.00	-
59	Servamus Building	KwaZulu-Natal	22 Storey Multi -Tenant Office	Office - Sovereign	B	13 789	102.40	3%
60	Shell House	Kwazulu-Natal	16 Storey Single Tenant Office	Office - Sovereign	B	13 828	80.00	-
61	Shorburg	Gauteng	9 Storey Multi -Tenant Office	Office - Sovereign	B	14 015	119.59	22%
62	Silver Stream Office Park	Gauteng	2 Storey Multi -Tenant Office	Office - Other	A	2 333	127.21	-
63	Sleepy Hollow - SARS	KwaZulu-Natal	3 Storey Multi -Tenant Office	Office - Sovereign	B	6 360	106.61	20%
64	Standard Bank Building - Nelspruit	Mpumalanga	4 Storey Multi -Tenant Office	Office - Sovereign	A	2 214	58.69	64%
65	Standard Bank Unisa	Mpumalanga	3 Storey Multi -Tenant Office	Office - Sovereign	B	5 589	87.13	34%
66	Strucktura - 539 Church Street	Gauteng	7 Storey Office	Office - Sovereign	B	4 488	55.74	69%
67	Temo Towers	Limpopo	9 Storey Single -Tenant Office	Office - Sovereign	A	7 668	249.88	-
68	The Forum Building - PTA	Gauteng	6 Storey- Single Tenant Office	Office - Sovereign	B	35 905	316.37	2%
69	The Marine Building	KwaZulu-Natal	21 Storey Multi -Tenant Office with ground floor retail	Office - Sovereign	B	24 676	72.69	31%
70	Tivoli	North West	5 Storey Single Tenant Office	Office - Sovereign	B	2 075	96.34	-
71	Treasury House	Kwazulu-Natal	10 Storey Multi -Tenant Office with high street retail	Office - Sovereign	B	8 874	136.19	1%
72	Veritas Building	Gauteng	8 Storey Single Tenant Office	Office - Sovereign	B	8 272	221.01	-

Analysis of
Ordinary Shareholders
as at 28 February 2026

SHAREHOLDER SPREAD	NUMBER OF SHAREHOLDINGS	% OF TOTAL SHAREHOLDINGS	NUMBER OF SHARES	% OF ISSUED CAPITAL
1 - 1,000	5 852	80.48%	580 793	0.08%
1,001 - 10,000	724	9.96%	2 766 004	0.39%
10,001 - 100,000	424	5.83%	16 271 376	2.28%
100,001 - 1,000,000	196	2.70%	68 983 270	9.66%
Over 1,000,000	75	1.03%	625 635 967	87.59%
Total	7 271	100.00%	714 237 410	100.00%

DISTRIBUTION OF SHAREHOLDERS	NUMBER OF SHAREHOLDINGS	% OF TOTAL SHAREHOLDINGS	NUMBER OF SHARES	% OF ISSUED CAPITAL
Assurance Companies	3	0.04%	1 631 452	0.23%
Close Corporations	23	0.32%	10 828 983	1.52%
Collective Investment Schemes	22	0.30%	124 485 947	17.43%
Control Accounts	1	0.01%	1	0.00%
Custodians	4	0.06%	6 332 513	0.89%
Foundations & Charitable Funds	6	0.08%	1 130 630	0.16%
Investment Partnerships	8	0.11%	192 631	0.03%
Managed Funds	2	0.03%	33 829	0.00%
Private Companies	81	1.11%	373 896 765	52.35%
Public Companies	2	0.03%	350	0.00%
Retail Shareholders	7 021	96.56%	132 705 453	18.58%
Retirement Benefit Funds	28	0.39%	29 958 093	4.19%
Stockbrokers & Nominees	8	0.11%	4 161 880	0.58%
Trusts	60	0.83%	28 666 853	4.01%
Unclaimed Scrip	2	0.03%	212 030	0.03%
Total	7 271	100.00%	714 237 410	100.00%

* In terms of Section 56(3) (a) & (b) and Section 56(5) (a) (b) & (c) of the South African Companies Act, 2008 (Act No. 71 of 2008) foreign disclosures have been incorporated into this analysis.

SHAREHOLDER TYPE	NUMBER OF SHAREHOLDINGS	% OF TOTAL SHAREHOLDINGS	NUMBER OF SHARES	% OF ISSUED CAPITAL
Non-Public Shareholders	3	0.04%	1 076 360	0.15%
Directors and associates of the company (direct holdings)	2	0.03%	501 860	0.07%
Directors and associates of the company (indirect holdings)	1	0.01%	574 500	0.08%
Public Shareholders	7 268	99.96%	713 161 050	99.85%
Total	7 271	100.00%	714 237 410	100.00%

FUND MANAGERS WITH A HOLDING GREATER THAN 3% OF THE ISSUED SHARES	NUMBER OF SHARES	% OF ISSUED CAPITAL
Merchant West Investments	96 211 066	13.47%
Camissa Asset Management	32 230 916	4.51%
Total	128 441 982	17.98%

BENEFICIAL SHAREHOLDERS WITH A HOLDING GREATER THAN 3% OF THE ISSUED SHARES	NUMBER OF SHARES	% OF ISSUED CAPITAL
Cornwall Crescent (Pty) Ltd	162 043 079	22.69%
Sahara Capital Holdings Ltd	158 169 200	22.15%
Nedbank Group	66 156 106	9.26%
Merchant West Investments	29 439 462	4.12%
Total	415 807 847	58.22%

SHARE PRICE PERFORMANCE	NUMBER OF SHARES
Opening Price 03 March 2025	R0.19
Closing Price 27 February 2026	R0.38
Closing High for period	R0.40
Closing Low for period	R0.17
Number of shares in issue	714 237 410
Volume traded during period	86 958 329
Ratio of volume traded to shares issued (%)	12.17%
Rand value traded during the period	R24 715 163
Price/earnings ratio as at 27 February 2026	2.97
Earnings yield as at 27 February 2026	33.68
Dividend yield as at 27 February 2026	-
Market capitalisation at 27 February 2026	R271 410 216

